Write by hand

Ⓓ AAA — descriptive practice (write by hand)

App-written twisted case questions based on the ICAI SM — not ICAI questions. Each has a time target, a model answer in ICAI format and the keywords that earn marks.

How to practise: pick 2 questions per chapter group, set the time shown, write the full answer (Provision → Facts → Analysis → Conclusion), then tick the "Marks go for" keywords you hit.

19 Ch 19 — Professional Ethics: descriptive practice

App-written practice questions based on ICAI SM — not ICAI questions. Write answers in the ICAI format: provision → facts → conclusion.

Q 1 · 5 marks · ~9 min

*Sahyadri Urban Co-operative Bank, Satara, publishes two tenders in June 2026 on the GeM portal. Tender I invites firms of Chartered Accountants for the statutory audit of its 14 branches for FY 2026-27. It states "professional fee not to exceed ₹45,000 per branch" and requires an EMD of ₹25,000. Tender II invites "Chartered Accountants, Cost Accountants and Company Secretaries" for a review of loan documentation at a fee to be quoted, with an EMD of ₹3 lakh. CA Prakash Jadhav, in practice for 12 years, plans to bid for both. He is unhappy that the bank's earlier panel ignored him despite four letters he wrote "requesting allotment of at least two branches". His articled assistant suggests also listing the firm on a mobile app that lists electricians, caterers and tax consultants, "to get visibility with the bank's members". Advise CA Prakash on the bids **and** on his other conduct, with reference to the Chartered Accountants Act, 1949 and the guidelines of the Council.*

ICAI ·

Model answer (ICAI format): Provision: *Clause (6) of Part I of the First Schedule: a CA in practice is guilty of professional misconduct if he solicits clients or professional work, directly or indirectly, by circular, advertisement, personal communication, interview or any other means. The proviso allows responding to tenders or enquiries. However, under the Council's guideline (No. I-CA(7)/03/2016 dated 7 April 2016, also Chapter XIII of CGG 2008), a member shall not respond to any tender in areas exclusively reserved for Chartered Accountants, such as audit and attestation, unless a **minimum fee** is prescribed in the tender document or the area is open to other professionals as well. The minimum fee must commensurate with the size, value, volume, manpower and nature of the work. A cost sheet must be kept for the Institute's perusal. Reasonable EMD is not interfered with; for exorbitant EMD, the Ethical Standards Board may look into the case.*

Analysis: *Tender I is for statutory audit, an area reserved for CAs, and it prescribes only a **maximum** fee. The restriction applies, and CA Prakash cannot respond. Tender II is open to Cost Accountants and Company Secretaries too, so he may respond and pay the EMD. If he thinks ₹3 lakh is exorbitant, he may refer it to the ESB. Registering on GeM is not empanelment or an aggregator listing, because the client itself operates it, so it is permitted. Writing to an organisation to be placed on a known panel is allowed. Writing repeatedly to **request allotment** of work is solicitation under Clause (6). Listing on an application-based aggregator that also lists other trades is not permissible under the Advertisement Guidelines, 2008.*

Conclusion: *He should not bid for Tender I. He may bid for Tender II and keep a cost sheet. He must stop requesting allotment and must not list on the aggregator app; doing either would be misconduct under Clause (6) of Part I of the First Schedule.*

Marks go for: *exclusive area + minimum fee rule (maximum fee ≠ minimum fee); "open to other professionals"; EMD and ESB; roving requests = solicitation; aggregator not permitted.*

Q 2 · 5 marks · ~9 min

Malwa Cables Ltd, an unlisted public company, held its AGM on 28 September 2026. The retiring auditor, CA Sunil Datar, had served one term. At the AGM, he was replaced by Raghuvanshi & Co. on a resolution moved under a special notice. Raghuvanshi & Co. received the appointment letter on 30 September. They wrote to CA Datar on 1 October by speed post and kept the postal receipt. Because the company's bankers wanted the stock statements certified quickly, they began the audit on 2 October. They relied on a certificate from the Company Secretary that "all provisions of Sections 139 and 140 have been complied with". On 10 October, CA Datar told the Institute that his FY 2025-26 fee of ₹3.2 lakh, provided in the accounts signed by both, was still unpaid. Malwa has been registered since 2009 and has positive net worth. Comment on the conduct of Raghuvanshi & Co. Would your answer change if Malwa were a government company whose appointment letter, received in late September, required the audit to begin within three days?

ICAI ·

Model answer (ICAI format): Clause (8) of Part I of the First Schedule: a CA in practice is guilty if he accepts a position as auditor previously held by another CA without first communicating with him in writing. The communication must give positive evidence of delivery: Registered A.D., by hand against acknowledgement, an acknowledgement from the e-mail address registered with ICAI, or UDIN. A certificate of posting is not enough (J.S. Bhati v Council of ICAI). **Clause (9)**: guilty if he accepts appointment as auditor of a company without first ascertaining whether Sections 139 and 140 of the Companies Act, 2013 have been complied with. "Ascertain" means to find out for certain. A management certificate is not sufficient; he must verify the special notice, its dispatch to members at least 7 days before the meeting, its service on the retiring auditor forthwith, the circulation of the representation, and the minutes. **Chapter VII, CGG 2008**: do not accept an audit where the undisputed audit fee of another CA for a statutory audit is unpaid. A provision in accounts signed by both is "undisputed". The only exception is a sick unit, i.e. registered for at least 5 years with accumulated losses equal to or exceeding its entire net worth.

Analysis: The firm started work before any proof of delivery. A speed post receipt is no better than a certificate of posting, and writing after acceptance does not cure the breach (SM Illus 15). It relied on the Company Secretary's certificate. The fee is undisputed and Malwa, with positive net worth, is not a sick unit.

Conclusion: Raghuvanshi & Co. are guilty under Clauses (8) and (9) of Part I of the First Schedule. They are also guilty of breaching Chapter VII of CGG 2008, i.e. Clause (1) of Part II of the Second Schedule. **If a government company:** the duty to communicate applies equally. Where the time schedule leaves no time to wait for a reply, the incoming auditor may give a **conditional acceptance** after sending the communication, stating that acceptance is subject to professional objections from the previous auditor, and decide finally after considering them. So the timing would be defensible only if the letter was sent first, with proof of delivery, and the acceptance was expressly conditional. Clause (9) and the fee issue would remain.

Marks go for: positive evidence of delivery (not posting proof); "first" = before acceptance; "ascertain" = verify records, not a certificate; undisputed fee + sick-unit definition; conditional acceptance for government audits.

Q 3 · 4 marks · ~7 min

CA Ananya Rao runs a practice in Mysuru. In January 2026 she received from clients: ₹60,000 as an advance against a GST annual return engagement; ₹18,000 for ROC filing fees, which she paid three days later; ₹9.5 lakh as liquidator of Kaveri Silks Pvt Ltd; and ₹5 lakh from a temple trust "to be invested in RBI bonds once the trustees meet in July". She deposited all four in her firm's current account. The liquidation money was used to clear the firm's GST dues for two weeks and then replaced. Her senior manager argues that "the money was never lost, so nothing is wrong". Examine.

ICAI ·

Model answer (ICAI format): Provision: Clause (10) of Part I of the Second Schedule: a CA in practice is guilty if he fails to keep moneys of his client, other than fees or remuneration or money meant to be expended, in a separate banking account, or fails to use such moneys for the purposes for which they are intended within a reasonable time. Council suggestions: (i) an advance against services to be rendered is not covered; (ii) money for expenses to be incurred within a reasonably short time (statutory fees, stamp paper) need not go to a separate account; (iii) money for expenses not intended to be spent within a reasonably short time must go to a separate account immediately; (iv) money received as trustee, executor, liquidator, etc. must go to a separate account immediately.

Analysis: The ₹60,000 advance falls under (i), so there is no breach. The ₹18,000 was spent within three days, under (ii), so there is no breach. The ₹9.5 lakh as liquidator falls under (iv); it had to be kept separately and was also used for her own purpose. The ₹5 lakh is to be used only after about six months, under (iii), so it had to be kept separately. Replacing the money later is no defence. Using a liquidator's money for the firm's dues may also be examined under Clause (4) of Part II of the Second Schedule (defalcation or embezzlement of money received in a professional capacity).

Conclusion: She is guilty under Clause (10) of Part I of the Second Schedule for the liquidation money and the temple trust money. The manager's argument fails, because the clause is breached by not keeping the money separately and not using it for its purpose, whether or not there is a loss.

Marks go for: the four Council suggestions; classifying each receipt; "immediately" for liquidator/trustee money; no loss is no defence.

Q 4 · 5 marks · ~9 min

Vindhya Cement Ltd is listed on NSE. Its Director (Finance), CA Kiran Mehta, is a key managerial person. While reviewing quarry expenses, he found that ₹2.6 crore had been paid through a "logistics vendor" to obtain a mining-lease renewal. He also found that blasting continues beyond the permitted limits near a village school. The MD tells him the matter is "routine in the industry" and that the board's audit committee "need not be troubled". The statutory auditors are in the middle of a long dispute with the company over the valuation of a captive power plant and have not noticed the payments. Advise CA Kiran on his responsibilities under the Code of Ethics. How would your answer differ if Vindhya Cement were an unlisted public company?

ICAI ·

Model answer (ICAI format): Provision: NOCLAR under the Code of Ethics covers acts of omission or commission, intentional or unintentional, contrary to laws or regulations, committed by the employer, TCWG, management or others working for it. It includes fraud, corruption and bribery, environmental protection and public health and safety. In India, **Section 260** applies to **senior professional accountants in service, being employees of listed entities**. Senior professional accountants are directors, officers or senior employees able to exert significant influence over the employer's resources, i.e. KMP. Turning a blind eye is not an appropriate response.

Analysis: Vindhya is listed and CA Kiran is a director and KMP, so Section 260 applies. He should: (1) **obtain an understanding** of the matter; (2) **address the matter** by discussing it with his superior and, since the MD himself is involved, with those charged with governance (the audit committee), and not accept the MD's instruction; (3) **seek advice** (within the organisation, from the Institute or from legal counsel); (4) **determine whether further action is needed**; (5) **determine whether to disclose to an appropriate authority**; (6) in the case of an **imminent breach** causing substantial harm to the public (the blasting near the school), after first considering whether to discuss it with management or TCWG, use professional judgment on whether to disclose immediately to an appropriate authority, and such disclosure is permitted; (7) **document** how management or TCWG responded, the courses of action, judgments and decisions considered under the reasonable and informed third party test, and how he is satisfied that he has met his public-interest responsibility. Confidentiality under Clause (2) of Part II of the Second Schedule is not breached where disclosure is required by law.

Conclusion: CA Kiran must act under Section 260 and cannot leave the matter to the auditors. **If unlisted:** Section 260, as applicable in India, would not apply, because it is limited to employees of listed entities. He would still be bound by the fundamental principles (integrity, professional behaviour) and by the confidentiality clause, subject to disclosure required by law.

Marks go for: Section 260 conditions (listed + KMP); the seven response steps; imminent breach → disclosure permitted; extra documentation; unlisted → not applicable.

Q 5 · 5 marks · ~9 min

Pillai Varghese & Co., Kochi, is the statutory auditor of Malabar Ports Ltd, a listed company. Its audit fee is ₹40 lakh and its turnover is ₹310 crore. In May 2026, the firm joined "Coastal & Associates", a group of six firms in Kerala and one firm in Muscat. The firms share client and billing software, a common technical cell whose opinions are binding, and a common brand that appears next to each firm's name on audit reports. No form has been filed with ICAI because "it is only a co-operation arrangement". Another firm in the group, Nair & Co., is offered Malabar Ports' internal audit at ₹30 lakh. A third firm, Jacob & Co., is offered ERP advisory at ₹95 lakh. Malabar Ports' regulator requires rotation of auditors in 2027. The group plans for Nair & Co. to take over the audit from Pillai Varghese then. Advise.

ICAI ·

Model answer (ICAI format): Network test (CGG 2008, Chapter XV): a larger structure aimed at co-operation is deemed a network where the entities share, among other things, a common brand name (including use with the firm name when signing audit reports), a significant part of professional resources (common systems for client data and billing, or a technical department whose advice must be followed) or common quality control. The test is whether a reasonable and informed third party would conclude that a network exists. Here the shared software, the binding technical cell and the common brand on audit reports make it a network.

Compliance gaps: (1) The name must use "& Affiliates", not "& Associates". It needs approval in Form A (ICAI decides within 30 days) and is reserved for 3 months, during which the network must register in Form B. Registration is **mandatory**. (2) For the arrangement with the Muscat entity, the Indian firms must file a declaration in **Form D within 30 days** of entering the network. Any change in constitution goes in Form C within 30 days. (3) A firm may join only one network.

Ethical compliance: Because Pillai Varghese is the statutory auditor, no network firm (Nair & Co.) may accept the internal audit. The non-audit fee ceiling for **other firms of the network collectively** is three times the statutory audit fee, i.e. ₹1.20 crore. Jacob & Co.'s ₹95 lakh is within it, provided the total for all other network firms does not exceed ₹1.20 crore. Where rotation is prescribed by a regulator, no member firm of the network can replace a retiring member firm, so Nair & Co. cannot succeed Pillai Varghese.

Conclusion: Not filing is a breach of the Council's guidelines, i.e. misconduct under Clause (1) of Part II of the Second Schedule. The internal audit must be declined, the rotation plan dropped, and the ERP fee kept within the 3× ceiling.

Marks go for: network deemed (brand on audit report, shared resources); Forms A/B/D with 30 days / 3 months / 30 days; "& Affiliates"; no internal audit by network firms; 3× ceiling; rotation bar.

Q 6 · 5 marks · ~9 min

CA Rohini Kale holds a full-time COP in Nagpur and has three articled assistants. From 1 April 2026 she: (a) became managing director of "Kale Advisory Pvt Ltd", a company engaged only in management consultancy, approved and registered with ICAI, in which she holds 70% of the shares; (b) became a whole-time director of a non-profit educational society on a monthly salary, applying to the Council on 20 April 2026; (c) began editing a fortnightly film magazine; (d) took up private tuition for CA Foundation students for 6 hours a week; (e) holds an LIC agency licence inherited from her father, only to receive renewal commission; and (f) continues as a director simplicitor of Orange City Foods Ltd, whose tax audit her proprietary firm has just accepted. Her friend says the MD role means she can no longer sign audits or train articles. Examine each.

ICAI ·

Model answer (ICAI format): Provision: Clause (11) of Part I of the First Schedule: a CA in practice is guilty if he engages in any business or occupation other than the profession of CA unless permitted by the Council. Proviso: he may be a director (not MD or WTD) of a company unless he or any partner is interested in it as auditor. Regulation 190A and the resolutions in Appendix 9 set out the general and specific permissions.

(a) Under the Guidelines for Corporate Form of Practice (CGG Chapter XVII), a member may be MD, WTD or Manager of a company engaged exclusively in Management Consultancy and other services, approved and registered with ICAI. There is no restriction on equity holding. She retains a full-time COP and may do attest work and train articles. Not misconduct; the friend is wrong. **(b)** Full-time or part-time employment in a non-business concern needs the **specific and prior** approval of the Council. Applying after joining is too late (SM Illus 21), so she is guilty for the period without permission. **(c)** Editorship of journals other than professional journals needs specific permission. She is guilty unless approved. **(d)** Private tutorship is generally permitted. Total direct teaching hours must not exceed 25 a week for her to do attest work; 6 hours is within the limit. **(e)** Holding an LIC agency licence for the limited purpose of renewal commission is generally permitted. **(f)** A director simplicitor is generally permitted, but the Council prohibits such a member from auditing the company. Clause (4) of Part I of the Second Schedule applies to all attest functions, including tax audit, on the principle of independence.

Conclusion: She is guilty under Clause (11) for (b) and (c), and under Clause (4) of Part I of the Second Schedule for the tax audit in (f). (a), (d) and (e) are in order.

Marks go for: corporate-form MCS company keeps full COP; specific + **prior** approval; general list items; 25-hour limit; director simplicitor cannot audit (any attest function).

Q 7 · 5 marks · ~9 min

Seth Bansal & Co., Jaipur, has hired a branding agency after losing two bank audits. The agency's plan, which the partners have accepted, includes:

- (i) a newspaper write-up headed "Rajasthan's AI-first audit firm". It states "audited 40+ companies with turnover above ₹500 crore", lists a 2025 award from a private business magazine, prints the firm's vision statement and shows the firm name in 18-point type;
- (ii) visiting cards for partner CA Neeraj Bansal reading "CA Neeraj Bansal, FCA, Registered Valuer (Securities or Financial Assets), Practising since 1998";
- (iii) a WhatsApp broadcast to 2,000 local traders listing the firm's services;
- (iv) website pages showing partners' photographs and an "Industries we serve" page displayed only on a specific request.

CA Neeraj insists everything is true. Comment.

ICAI ·

Model answer (ICAI format): Provision: Clause (7) of Part I of the First Schedule prohibits advertising professional attainments or services, and using any designation other than CA on professional documents, visiting cards, letterheads or sign boards, unless it is a university degree or a title of a recognised body. The proviso allows a write-up under the Council Guidelines for Advertisement, 2008. Clause (6) prohibits soliciting by any means. Truth is no defence. The write-up must also avoid exaggerated claims, client names, testimonials and fees, and must not show awards except those given by the Central or State Government or regulatory bodies. Monograms and catch words are not allowed. The Membership No. or FRN is mandatory, and the font must not exceed 14.

(i) "AI-first audit firm" is a catch word and an unsubstantiated claim. The client-turnover claim is an exaggeration and refers to clients. A private magazine award is not permitted. Under an ESB decision, a vision or mission statement may appear only in the firm profile on request. The 18-point font exceeds 14. So the write-up breaches Clause (7) and the Guidelines. **(ii)** "Registered Valuer" may be mentioned by an empanelled member, and FCA is permitted. "Practising since 1998" breaches Clause (7), because the date of setting up practice should not appear on letterheads or other professional documents. **(iii)** Under an ESB decision, using messaging applications to make people aware of one's practice and services is not permissible. It is solicitation under Clause (6). **(iv)** A passport-style photograph is permitted. The nature of services and the areas of experience may be shown on a "pull" request, so the website is in order if the rest of it follows the pull model.

Conclusion: The partners are guilty under Clauses (6) and (7) of Part I of the First Schedule for (i), (ii) and (iii). Only (iv) is compliant. If the write-up's content is false, Clause (3) of Part III of the First Schedule also applies.

Marks go for: write-up conditions (catch words, awards rule, font 14, client names); vision statement ESB; RV allowed / date of practice not allowed; messaging apps = solicitation; pull model.

Q 8 · 5 marks · ~9 min

CA Tanmay Joshi audits Sangam Agritech Ltd, a listed SME. Most of his file deals with a complex Ind AS 115 contract with a government agency. Inventory of ₹22 crore (40% of total assets) was counted on 31 March 2026, but he was appointed only on 20 April 2026. He neither attended a count later nor performed any roll-back procedure, and he relied on the past trend of stock levels. 95% of sales went to one distributor that had been shown as a related party in FY 2022-23 but not since; he accepted management's word that it was "now independent". Management refused to let him send balance confirmations. He did not inquire into the reasons or do any alternative procedures. He issued an unmodified opinion. Explain the provisions of the Chartered Accountants Act, 1949 that he has breached. Would it have helped if he had issued a qualified opinion saying only "we did not attend the physical count"?

ICAI ·

Model answer (ICAI format): Provisions (Part I of the Second Schedule): **Clause (7)**: does not exercise due diligence, or is grossly negligent in the conduct of his professional duties. **Clause (8)**: fails to obtain sufficient information necessary for expressing an opinion, or its exceptions are sufficiently material to negate the expression of an opinion. **Clause (9)**: fails to invite attention to any material departure from the generally accepted procedure of audit applicable to the circumstances. The Standards: SA 501 requires attendance at the count when inventory is material, unless impracticable; if impracticable, alternative procedures; if still not possible, a modified opinion under SA 705. SA 550 requires sufficient appropriate evidence that related parties are identified and disclosed. SA 505 requires the auditor to inquire into management's refusal, evaluate its effect on the risk of material misstatement (including fraud), and perform alternative procedures.

Analysis: These facts mirror the NFRA case in the SM. He did no alternative inventory procedures and relied on trends. He applied no professional skepticism to a former related party taking 95% of sales. He did not respond to the confirmation refusal. An unmodified opinion without sufficient evidence, and without drawing attention to the departures, breaches Clauses (7), (8) and (9). In that case the engagement partner was also penalised and debarred for two years under Section 132(4) of the Companies Act, 2013.

Qualified opinion: The SM states that failure to perform a statutory duty is not excused merely by qualifying the report. For example, a mere statement that cash was not verified is not enough where verification was necessary, feasible and material. He would still have had to perform alternative procedures. If they were not possible, he should have modified the opinion as SA 705 requires and stated clearly why generally accepted procedures could not be followed. Where the limitations negate an opinion, he should have disclaimed rather than written "subject to".

Conclusion: He is guilty under Clauses (7), (8) and (9) of Part I of the Second Schedule. A bare qualification would not have cured the breach.

Marks go for: Clauses 7, 8, 9 worded correctly; SA 501/550/505 requirements; NFRA outcome; "qualification does not excuse failure of duty"; disclaim, not "subject to".

Q 9 · 4 marks · ~7 min

CA Gaurav Arora has been offered the statutory audit of Doaba Foods Pvt Ltd, Ludhiana, for FY 2026-27. He resigned as a director simplicitor of Doaba in August 2025. His wife holds Doaba's equity shares of face value ₹85,000. His brother is an accounts officer at Doaba, but not a KMP. Gaurav's firm has an overdraft of ₹1.4 lakh from Doaba's group finance company, which is not Doaba itself. Separately, his partner is a trustee of the Arora Charitable Trust, whose audit the firm has also been offered. Gaurav is a part-time lecturer at a commerce college, whose audit he wants too. Advise on each offer.

ICAI ·

Model answer (ICAI format): Provision: Clause (4) of Part I of the Second Schedule: a CA in practice is guilty if he expresses an opinion on the financial statements of an enterprise in which he, his firm or a partner has a substantial interest. The Council's guidelines under this clause apply the principle of independence to all attest functions. **Doaba:** (1) Cooling-off: a member shall not accept the audit of a company for **two years** from the completion of his tenure as director or his resignation. He resigned in August 2025, so FY 2026-27 audit acceptance falls within the two years and he should decline. The SM also records the ESB's 2017 review, which leaves such decisions to the Companies Act, 2013 and the Code of Ethics, but the SM's own guideline and TYK apply the two-year bar. (2) A relative's securities are a disqualification under Section 141(3)(d)(i) read with Rule 10 only if their face value exceeds ₹1 lakh. ₹85,000 does not. (3) A relative who is a director or KMP disqualifies (Section 141(3)(f)); a brother who is an accounts officer, not KMP, does not by himself. Familiarity threats should still be evaluated under the Code. (4) Indebtedness: CGG Chapter X bars appointment while indebted to the **concern** beyond the statutory limits, otherwise beyond ₹1,00,000. The overdraft is from a group company, not Doaba, so Chapter X as worded is not attracted to Doaba. He should assess Section 141 for the group company. **Trust:** the Council has decided that a CA should not accept the audit of a trust where his partner is an employee or a trustee, so he should decline. **College:** the Council has decided that a CA should not accept the audit of a college where he is working as a part-time lecturer, so he should decline.

Conclusion: He should decline all three offers. For Doaba, the only operative bar is the cooling-off period; the shares and the brother's job alone would not disqualify him.

Marks go for: two-year cooling-off; ₹1 lakh face value; relative as director/KMP only; indebtedness to "the concern" ₹1,00,000; trust-partner-trustee and college-lecturer decisions.

Q 10 · 4 marks · ~7 min

Konkan Fisheries Pvt Ltd has applied to Coastal Bank for a ₹25 crore loan. The bank's credit officer phones the auditor, CA Sameer Desai, and asks him (a) to share his working papers on receivables and (b) to explain over the phone the reasons for a large write-off. The Managing Director, whose powers include giving such consents, e-mails Sameer: "Please share whatever the bank needs." Konkan's group auditor, who audits the holding company, separately demands access to Sameer's working papers. A week later, Sameer finds evidence that the company's purchase manager has been diverting funds through fake vendors. Advise Sameer on each matter.

ICAI ·

Model answer (ICAI format): Provision: Clause (1) of Part I of the Second Schedule: a CA in practice is guilty if he discloses information acquired in the course of his engagement to anyone other than his client, without the client's consent or otherwise than as required by law. The duty continues after the engagement ends. For a company, consent may be given by the Board (Section 179), or by the MD if the Board's powers are delegated to him comprehensively enough to include giving such consent. Otherwise a Board resolution is needed.

(a) and (b) Working papers are the auditor's property. There is no duty to give the client or third parties access, although at his discretion he may give extracts to the client. Sharing **information** differs from sharing working papers. Information may be given to the bank with the client's valid consent. The MD's e-mail is valid consent here because his delegated powers cover it. Sameer may therefore explain the write-off, and should limit himself to what is consented, but he is not bound to hand over his working papers. **Group auditor:** an auditor is not required to give other auditors of the same enterprise or a related enterprise, such as the parent, access to his working papers. The other auditor may rely on his work without that access. **Fraud:** under Section 143(12) of the Companies Act, 2013, if the auditor has reason to believe an offence involving fraud is being or has been committed against the company by its officers or employees, he must report it to the Central Government within 60 days of his knowledge, following the prescribed procedure. Disclosure required by law is outside Clause (1).

Conclusion: He may share information with the bank under the MD's valid consent, but not his working papers. He may refuse the group auditor's demand. He must follow the Section 143(12) procedure for the fraud, which is not a breach of confidentiality.

Marks go for: Clause (1) wording; who can consent for a company; working papers vs information; no access for other auditors; Section 143(12) as a "required by law" exception.

D2 Descriptive practice — Ch 6 Completion and Review, Ch 7 Reporting

App-written practice questions based on ICAI SM — not ICAI questions.

Q 1 · 5 marks · ~9 min

Ratnagiri Marine Exports Ltd closes its books on 31 March 2026. CA Farhan of Qureshi & Co. signed the audit report on 22 May 2026 and handed it to the Board the same day; the AGM is fixed for 14 August 2026 and the annual report is to be posted on 18 July 2026. The company's processing unit at Jaigad had been inspected by the Export Inspection Agency in February 2026 and samples were taken. On 3 July 2026 the Agency cancelled the unit's export approval with effect from the inspection date, citing the February samples, and the EU buyer rejected ₹ 11 crore of shipments that were in transit at the year end and recorded as sales. The CFO tells CA Farhan that "your report is signed; the auditor's job ended on 22 May; we will mention it in next year's accounts".

(a) Comment on the CFO's view and state CA Farhan's responsibilities. (b) What should he do if management amends the financial statements? (c) Would your answer change if the annual report had already been posted to shareholders on 1 July 2026?

ICAI ·

Model answer (ICAI format): Provision: *SA 560 — the auditor has no obligation to perform audit procedures after the date of the report. But when, after that date and before the FS are issued, a fact becomes known that, had it been known at the report date, may have caused the auditor to amend the report, the auditor shall (i) discuss with management and, where appropriate, TCWG; (ii) determine whether the FS need amendment; and (iii) if so, inquire how management intends to address it. If management amends, the auditor carries out procedures on the amendment, extends procedures, and gives a new report not dated earlier than the date of approval of the amended FS (or amends the report with an additional date restricted to the amendment). If management does not amend and the report is already with the entity, he notifies TCWG not to issue the FS to third parties before amendment; if issued anyway, he takes appropriate action to seek to prevent reliance on the report.* ***Analysis:*** *the cancellation relates to samples taken in February, and the shipments were in transit at the year end — it gives evidence of conditions existing at 31 March 2026 and would have changed the report. The FS are not yet issued (posting on 18 July). The CFO's view is wrong; the "respond" objective of SA 560 continues till issue.* ***(b)*** *Audit the amendment, extend procedures, and issue a new report dated on or after the approval of the amended FS, with an EOM/OM paragraph referring to the amendment.* ***(c)*** *After issue: discuss, decide on amendment, inquire. If amended, review the steps management takes to inform everyone who received the earlier FS and report, and issue a new report with EOM/OM. If management takes no such steps, take appropriate steps to seek to prevent reliance on the report.* ***Conclusion:*** *CA Farhan must act now; "next year's accounts" is not an answer.*

Marks go for: *"no obligation after report date, but respond"; three steps (discuss, determine, inquire); "new report not dated earlier than approval of amended FS"; "notify TCWG not to issue / prevent reliance"; split between before and after FS issue.*

Q 2 · 5 marks · ~9 min

Sahyadri Hotels Pvt Ltd runs four leased resorts in the Western Ghats with 10-year lock-in leases and no force majeure clause. It is heavily borrowed. Landslides in July 2025 closed the access road for five months. Occupancy fell from 72% to 18%. The bank has converted interest dues into a funded interest term loan with repayment from April 2026 and has not given new limits. Suppliers have moved the company to cash on delivery. Management, confident that "tourists always return", has prepared a cash flow forecast assuming 70% occupancy from October 2026, lease-rent deferment from the lessors (talks yet to start), and a promoter infusion of ₹ 6 crore "if needed". It refuses to extend its going concern assessment beyond 31 March 2027, saying "twelve months is enough". The FS disclose nothing about going concern.

Comment on the auditor's responsibilities and the procedures to be performed, with specific reference to the cash flow forecast, and state the reporting consequences.

ICAI ·

Model answer (ICAI format): Provision: SA 570 — management makes a specific assessment and appropriate disclosures; the auditor obtains SAAE and concludes on the appropriateness of the GC basis and whether a material uncertainty exists, but cannot guarantee continuance. When events or conditions are identified, the auditor performs additional procedures, including consideration of mitigating factors: request management's assessment; evaluate management's plans (likely to improve the situation? feasible?); where a cash flow forecast is significant, (i) evaluate the reliability of the underlying data and (ii) determine whether there is adequate support for the assumptions; consider facts that became available after management's assessment; obtain written representations on plans and feasibility. **Analysis:** indicators — over-leverage, cash on delivery with suppliers, bank refusing fresh limits, loan repayments starting, lock-in leases without force majeure. Forecast tests: 70% occupancy against 18% actual needs support (bookings, road status); lease deferment is only a hope — talks have not started, so obtain evidence or treat as unsupported; promoter infusion — confirm existence, legality and enforceability of the support arrangement and the promoters' financial ability; check loan sanction letters for repayment dates used in the forecast. Also read loan agreements for breaches, minutes for financing difficulties, interim FS, and subsequent events. **Unwilling to extend assessment:** the auditor considers the implications for the report. **Reporting:** if GC basis is inappropriate → adverse opinion. If appropriate but a material uncertainty exists and the FS disclose nothing → qualified or adverse (as pervasiveness dictates), stating in the Basis section that a material uncertainty exists and the FS do not adequately disclose it. Only if adequate disclosure is made would an unmodified opinion with a "Material Uncertainty Related to Going Concern" section be possible. Communicate the events/conditions to TCWG.

Marks go for: management vs auditor responsibilities; "reliability of underlying data" + "adequate support for assumptions"; financial support confirmed and ability of supporter; "unwilling to extend assessment → consider implications"; reporting table (adverse / qualified-adverse / unmodified + MUGC).

Q 3 · 4 marks · ~7 min

For the audit of Indrayani Pharma Ltd for FY 2025-26, the auditors obtained in February 2026 a written representation from the plant head that inventory of ₹ 42 crore at the Pithampur plant was free from expired batches. The final representation letter, signed by the Managing Director and CFO, is dated 10 May 2026; the report is planned for 28 May 2026. In the letter, management struck out the paragraph "All transactions have been recorded in the accounting records and are reflected in the financial statements", saying "this is the auditor's job to check". The engagement manager suggests that as the February letter already covers inventory and the team has vouched transactions, the report can be signed.

Evaluate the engagement manager's suggestion with reference to the date of, and the matters in, written representations, and state the course of action if management maintains its position.

ICAI ·

Model answer (ICAI format): Provision: SA 580 — written representations are necessary audit evidence but do not on their own provide SAAE. The auditor requests WR that management has fulfilled its responsibility for preparing the FS and for completeness of information, including that all transactions have been recorded and reflected. WR are dated as near as practicable to, but not after, the report date; the report cannot be dated before the WR. Where a WR on a specific assertion is obtained during the audit, an updated WR may be needed. If WR are not provided, the auditor discusses with management, re-evaluates its integrity and the reliability of other evidence, and takes appropriate action including the effect on the report under SA 705. **Analysis:** (i) the February representation on inventory is interim and from a plant head; it needs updating near the report date. (ii) The letter of 10 May is 18 days before the report — events between 10 and 28 May are not covered; obtain an updated letter dated close to 28 May. (iii) "All transactions recorded" is part of the completeness representation that SA 580 requires; vouching by the team does not replace it, because a reliable WR does not change other evidence and other evidence does not replace a required WR. **Conclusion:** the manager's suggestion is not acceptable. If management still refuses, discuss with it and TCWG, re-evaluate management's integrity, and consider the effect on the opinion under SA 705.

Marks go for: "as near as practicable to, but not after"; updated WR for interim WR; completeness of information / all transactions recorded is mandatory; refusal → re-evaluate integrity → SA 705.

Q 4 · 5 marks · ~9 min

Narmada Cables Ltd is listed on NSE. During the FY 2025-26 audit, CA Sanjana of SP & Associates noted: (i) revenue from 40 long-term EPC contracts recognised over time, where estimating costs to complete needed extensive judgment — the team spent many weeks on it and found no misstatement; (ii) a ₹ 48 crore GST demand under appeal, appropriately disclosed as a contingent liability, which she considers fundamental to users' understanding but which did not need significant audit attention; (iii) the company has not provided for an ₹ 18 crore claim it lost in arbitration in January 2026 (material, not pervasive); (iv) the FY 2024-25 FS were audited by another firm, which gave an unmodified opinion. The Audit Committee asks her to show item (iii) as a key audit matter "with a full description, so that no qualification is needed", and to drop item (i) because "revenue is already explained in the notes".

Advise CA Sanjana on how each item should be reported, and comment on the Audit Committee's requests.

ICAI ·

Model answer (ICAI format): Provision: SA 701 — for listed entities the auditor determines, from matters communicated with TCWG, those that required significant auditor attention (higher assessed RMM/significant risks; significant judgments on areas of significant management judgment and high estimation uncertainty; significant events/transactions), and from them the matters of most significance — the KAMs. KAM is not a substitute for FS disclosure, for a modified opinion under SA 705, or for SA 570 reporting. A KAM is left out only if law precludes disclosure or, in extremely rare cases, adverse consequences outweigh public interest benefits. SA 706 — EOM for a matter appropriately disclosed, fundamental to users, not requiring modification and not a KAM; OMP for a matter not presented in FS relevant to the audit or report. SA 705 — material, not pervasive misstatement → qualified. **Analysis:** (i) significant judgment and high estimation uncertainty, extensive attention → KAM, describing why it was significant and how it was addressed; disclosure in notes does not remove it. (ii) appropriately disclosed, fundamental, not a KAM → EOM ("We draw attention to Note … Our opinion is not modified in respect of this matter"). (iii) misstatement, material not pervasive → qualified opinion, "except for the effects of…", quantified in the Basis for Qualified Opinion section; it cannot be a KAM. (iv) predecessor auditor → Other Matter paragraph stating the prior FS were audited by another auditor, the type of opinion and the date of that report (SA 710). **Requests:** both refused — KAM is not a substitute for qualification, and "already in notes" is not an exception for omitting a KAM. Communicate the expected modification, its wording and the EOM/OMP wording to TCWG.

Marks go for: three KAM determination factors; "not a substitute for modified opinion"; EOM conditions (appropriately disclosed, fundamental, not KAM); qualified "except for the effects"; OMP for predecessor with type and date of opinion.

Q 5 · 5 marks · ~9 min

Godavari Infra Projects Ltd, a listed company, appointed Rao Menon & Co. as statutory auditors in September 2025. During the final audit, the Managing Director refused access to the books of its overseas joint venture, which is carried at ₹ 310 crore — about 70% of the group's net assets — and also stopped the auditors from sending confirmation requests to ten project debtors totalling ₹ 140 crore, saying "they are sensitive customers". The engagement partner wants to resign immediately to "avoid signing anything". Limited review reports for the quarters ended June and September 2025 have been issued; it is now 25 January 2026.

Discuss the steps the auditor should take, whether he may resign now, and the elements of the report if an opinion cannot be formed.

ICAI ·

Model answer (ICAI format): Provision: SA 705 — if after acceptance management imposes a limitation likely to lead to a qualified opinion or disclaimer, the auditor requests removal; if refused, communicates with TCWG (unless all TCWG manage the entity) and determines whether alternative procedures can give SAAE. If not: material but not pervasive → qualify; material and pervasive → withdraw where practicable and possible under law, else disclaim. Before withdrawing, communicate to TCWG misstatements that would have caused modification. SEBI circular CIR/CFD/CMD1/114/2019 dated 18 October 2019: an auditor of a listed entity proposing to resign within 45 days of a quarter-end issues the report for that quarter; after 45 days, for that quarter and the next; if limited review reports for all three quarters are issued, the annual audit report before resigning. **Analysis:** refusal of access to a JV of about 70% of net assets and prevention of debtor confirmations are management-imposed limitations; together the possible effects are material and pervasive (SM Illustration 5: JV over 90% → disclaimer; Illustration 8: multiple elements → disclaimer). Steps: request removal; go to the Audit Committee/Board; try alternatives (subsequent receipts, JV's audited FS). **Resignation:** 25 January 2026 is within 45 days of the quarter ended 31 December 2025 → he must first issue the limited review report for that quarter; he cannot simply walk away. **If disclaimer:** heading "Disclaimer of Opinion"; "We were engaged to audit..."; "We do not express an opinion... because of the significance of the matters... we have not been able to obtain SAAE"; Basis for Disclaimer of Opinion with reasons; omit the reference to the auditor's responsibilities section and the statement on sufficiency of evidence; reduced auditor's responsibilities paragraph with independence statement; no KAM section unless law requires; describe any other matters that would have needed modification.

Marks go for: request removal → TCWG → alternative procedures; withdraw if possible, else disclaim; SEBI 45-day rule applied to the date; disclaimer wording and omitted elements; no KAM with disclaimer.

Q 6 · 5 marks · ~9 min

Shivalik Auto Components Ltd (unlisted public company; revenue ₹ 260 crore) is audited by CA Devika for FY 2025-26. The prior auditor resigned in October 2025 citing "disagreement on accounting of a land exchange". Findings: (i) in December 2025 the company gave its 2-acre plot to director Mr Kohli in exchange for his adjoining 1-acre plot — a deed was executed but no shareholders' approval was obtained; (ii) one factory shed, built on land of the promoter's mother, is shown as the company's building; the title deed is in her name; (iii) loans of ₹ 9 crore were given to three dealers "repayable on demand", out of total loans of ₹ 15 crore given during the year; one dealer is the MD's brother; (iv) the company also prepares CFS with two subsidiaries whose CARO reports contain adverse remarks under clauses 3(vii)(a) and 3(ix)(a). Management says "the prior auditor's issues are not your concern, and CFS do not need CARO".

State CA Devika's reporting responsibilities under CARO 2020 for the standalone and consolidated FS.

ICAI ·

Model answer (ICAI format): Provision: CARO 2020 (s.143(11)) applies to every company except banking, insurance, section 8, OPC, small companies and qualifying private companies; Shivalik is an unlisted public company, so it applies. It does not apply to the report on CFS except clause 3(xxi). Para 4: basis to be given for unfavourable or qualified answers. **Analysis:** (i) Non-cash transaction with a director → clause 3(xv): whether s.192 has been complied with (here not — no approval); also clause 3(xiii): whether related party transactions comply with ss.177 and 188 and are disclosed. (ii) Title deed not in company's name → clause 3(i)(c): give the table — description, gross carrying value, held in the name of, whether promoter/director/relative/employee (relative of promoter), period held, reason, and whether in dispute. (iii) Loans repayable on demand → clause 3(iii)(f): aggregate ₹ 9 crore, percentage 60% of total loans granted (9/15), and amount granted to promoters/related parties (s.2(76)) — the loan to the MD's brother; also 3(iii)(b) whether terms are prejudicial and 3(iii)(c) whether schedule of repayment stipulated; clause 3(iv) for s.185/186 compliance. (iv) Resignation → clause 3(xviii): whether CA Devika has considered the issues, objections or concerns raised by the outgoing auditor — management's view is wrong. CFS → only clause 3(xxi): give the details of the two subsidiaries and the paragraph numbers 3(vii)(a) and 3(ix)(a). **Conclusion:** report under 3(i)(c), 3(iii)(b),(c),(f), 3(iv), 3(xiii), 3(xv), 3(xviii) in the standalone CARO report with reasons (para 4); under 3(xxi) in the CFS report.

Marks go for: correct clause numbers with content; 9/15 = 60% computed; outgoing auditor's concerns (xviii); CFS only (xxi) with paragraph numbers.

Q 7 · 4 marks · ~7 min

During the FY 2025-26 audit of Tapti Fertilisers Ltd (listed), CA Imran found on 4 May 2026 that the purchase head and a transporter had inflated freight bills; the loss to the company is ₹ 1.12 crore. He mailed the Audit Committee on 9 May 2026. The Audit Committee has not replied by 30 June 2026. The CFO argues that two separate schemes of ₹ 62 lakh and ₹ 50 lakh are involved, so "nothing goes to the Government", and that disclosure in the Board's report will suffice.

Examine CA Imran's compliance and the CFO's contention, and state what remains to be done. Would your answer change if the loss were ₹ 75 lakh?

ICAI ·

Model answer (ICAI format): Provision: s.143(12) r/w Rule 13 — fraud involving or expected to involve individually ₹ 1 crore or above, against the company by officers or employees: report to the Board/Audit Committee immediately but not later than 2 days of knowledge, seeking reply within 45 days; forward report, reply and comments to the Central Government within 15 days of receipt; if no reply within 45 days, forward the report with a note of details; send to Secretary, MCA, in sealed cover by Registered Post AD or Speed Post with e-mail confirmation, on letterhead, signed with seal and membership number, in Form ADT-4. Below ₹ 1 crore: report to Audit Committee/Board within 2 days (nature, approximate amount, parties); company discloses in Board's report. Penalty for non-compliance: ₹ 5 lakh for a listed company. CARO 3(xi)(a),(b),(c). **Analysis:** knowledge on 4 May; reporting on 9 May is beyond 2 days — non-compliance. The CFO's splitting is a question of fact: if it is one fraud by the same persons (inflated freight bills), it involves ₹ 1.12 crore individually and goes to the Central Government; if they are genuinely separate frauds each below ₹ 1 crore, each is reported to the Audit Committee. The Board's report disclosure is the company's duty only for frauds not reported to the Central Government. Since 45 days from 9 May have passed without reply, CA Imran must forward his report with the note to the Central Government in ADT-4. Report under CARO 3(xi)(a) nature and amount, and 3(xi)(b) that ADT-4 has been filed. **If ₹ 75 lakh:** report to the Audit Committee within 2 days with nature, amount and parties; no ADT-4; company discloses in Board's report; CARO 3(xi)(a) still applies.

Marks go for: 2 days / 45 days / 15 days; ADT-4 and manner; "individually"; Board's report only for frauds not reported to CG; CARO 3(xi).

Q 8 · 4 marks · ~7 min

Wainganga Paper Mills Ltd has been audited by CA Bhushan for FY 2025-26. The FY 2024-25 FS were audited by M/s KLM & Co., who qualified their opinion on 20 June 2025 for non-recognition of a ₹ 2.4 crore impairment of the Ballarpur unit. In FY 2025-26 management recognised the impairment and disclosed it properly. Separately, the company's annual report — received after CA Bhushan's report was signed — has a Directors' report stating "the Ballarpur unit was profitable throughout the year", while the audited FS show it ran at a loss. Management and the Board refuse to correct it. The Board also wants the report to present comparative financial statements "so that last year's qualification disappears".

Advise CA Bhushan on (a) reference to the prior-year qualification and the predecessor; (b) the effect of presenting comparative financial statements instead of corresponding figures; (c) the Directors' report issue.

ICAI ·

Model answer (ICAI format): Provision: SA 710 — corresponding figures: opinion refers to current period only, and refers to corresponding figures only if the prior report was modified and the matter is unresolved, or a prior-period misstatement was not addressed. If the matter is resolved and properly accounted for or disclosed, the current opinion need not refer to the previous modification. Where a predecessor audited the prior period and the auditor is permitted and decides to refer, state that fact, the type of opinion and the date of the report. Comparative FS: opinion refers to each period presented; a different opinion on the prior period from the one previously issued → substantive reasons in an Other Matter paragraph. SA 720 — OI obtained after the report date with an uncorrected material misstatement: take appropriate action considering legal rights and obligations to seek to bring it to the attention of users. **Analysis:** (a) the matter is resolved in FY 2025-26, so no reference to the qualification is needed in the opinion; he may, in an Other Matter paragraph, state that FY 2024-25 was audited by KLM & Co., who expressed a qualified opinion on 20 June 2025. (b) With comparative FS, his opinion must refer to each period presented, including FY 2024-25. If the FY 2024-25 figures still omit the impairment, he must deal with that misstatement in his opinion on that period (and, as the SM says, report it to management and request that the predecessor be informed); if his opinion on FY 2024-25 differs from KLM's, he gives the substantive reasons in an Other Matter paragraph. Changing the presentation does not make the qualification "disappear". (c) The Directors' report is other information; the statement conflicts with the FS and the auditor's knowledge. As it was obtained after the report date and is not corrected after going to TCWG, he takes appropriate action, considering his legal rights and obligations, to bring it to the attention of users. His opinion on the FS does not change because of it.

Marks go for: corresponding vs comparative (current only vs each period); resolved qualification → no reference; predecessor — type and date of opinion; SA 720 after-report-date response.

14 Ch 14 — Descriptive practice (handwritten)

App-written practice questions based on ICAI SM — not ICAI questions.

Q 1 · 5 marks · ~9 min

CA Ritika is the statutory branch auditor of the Bhopal branch of Satpura Bank, a nationalised bank, for FY 2025-26. The branch manager spends the first meeting on the branch's award for "best CASA growth" and the new gold-loan counter. Ritika's team notes: (a) Vindhya Polymers Ltd's cash credit of ₹4 crore was due for renewal on 31 July 2025 and is still not renewed at 31 March 2026; the account is operated regularly, but drawing power for February and March 2026 has been computed from a stock statement dated 30 November 2025; (b) Narmada Packers Ltd's term loan became NPA in January 2026, but its cash credit and bank guarantee limits are shown as standard; a guarantee invoked in December 2025 is parked in a separate "devolved guarantee" account, also shown as standard; (c) Chambal Steels paid all overdues on 30 March 2026, the funds coming from a fresh ad hoc limit sanctioned by the branch on 28 March 2026. The branch manager says "all three accounts are within the CBS system classification; the auditor is only required to verify the arithmetic of provisions". Comment on the auditor's responsibility and the classification of each account.

ICAI ·

Model answer (ICAI format): Responsibility: *the SM places confirmation of asset classification, income recognition and provisioning on both the branch and the central statutory auditor. The auditor checks that CBS classifies without manual intervention, that the NPA date is correct, and that classification is right as at the BS date, using the past-due concept — not only arithmetic. The manager's view is wrong.* ***(a) Vindhya:*** *temporary deficiencies (DP shortfall, non-renewal on due date) do not by themselves make an account NPA. But (i) limits not reviewed within 180 days of the due date are treated as NPA — 31 July 2025 + 180 days has passed by 31 March 2026; (ii) DP must be based on stock statements not older than 3 months — the 30 November statement is stale for February–March, so the balance is irregular. Unless renewal happens before the report is signed (AS 4 adjusting event, SM TYK 12), classify as NPA.* ***(b) Narmada:*** *classification is borrower-wise, not facility-wise — once the term loan is NPA, the CC and all other facilities are NPA. Debits from invoked guarantees parked separately form part of the borrower's principal operating account → also NPA.* ***(c) Chambal:*** *an account regularised before the BS date by paying overdues from genuine sources is not NPA. Here the repayment came from fresh funds given by the branch itself, so the auditor must examine the source carefully. If it shows inherent weakness, the account is NPA; the bank must give satisfactory evidence of how it was regularised.* ***Conclusion:*** *reclassify (a) unless renewed before signing, reclassify (b) in full and treat (c) as NPA on these facts; report under IRAC in the report/LFAR.*

Marks go for: *180 days non-review = NPA; stock statement not older than 3 months; borrower-wise incl. devolved guarantee; regularisation from genuine sources only.*

Q 2 · 4 marks · ~7 min

You are concurrent auditor of the Surat branch of Tapti Bank. Total advances are ₹600 crore, including ₹350 crore of export advances. Several diamond merchants open LCs for import of rough diamonds from Antwerp. The branch head explains at length that the branch is profitable and has won an export-promotion award, and asks you to "focus on frauds, not small amounts". Your engagement letter says you must ensure there is no revenue leakage. In the area of advances, which areas will you verify? Would your answer change if the branch head says revenue leakage is the statutory auditor's job?

ICAI ·

Model answer (ICAI format): Provision: housekeeping in concurrent audit includes detecting and preventing revenue leakage by scrutinising income and expense accounts; SM TYK 2 lists the areas for advances. **Areas:** (i) interest rates in the system checked against sanction letters, and interest applied at prescribed intervals; (ii) processing charges on new and renewed limits per bank circular/manual, including changes from time to time; (iii) penal interest for non-submission of stock statements stipulated in CC sanctions; (iv) overdue interest on export bills purchased and on packing credit for the overdue period; (v) commission/charges on LCs issued, as per circular/manual. **Second part:** no change — concurrent audit is contemporaneous, part of the bank's early-warning system; its scope is fixed by the Central Inspection and Audit Department in consultation with the ACB and covers revenue leakage. Interest not charged on NPAs is not leakage (income only on realisation). **Conclusion:** verify the five areas, quantify the shortfall and report it promptly; report major lapses through a special note.

Marks go for: interest rate vs sanction; processing fee; penal interest on stock statements; overdue interest on export bills/PC; LC commission.

Q 3 · 5 marks · ~9 min

CA Mohan, one of the SCAs of Konark Bank, reviews treasury operations. The treasury head proudly reports a 28% rise in trading profit and describes the new dealing room. Mohan finds: (a) a dealer both executed and confirmed trades during the March quarter; (b) BRs of ₹260 crore issued by counterparty banks have been outstanding for eight months, and the bank itself issued BRs for G-sec deals for which SGL facility was available; (c) G-secs of ₹900 crore were shifted from AFS to HTM in March 2026 on the Investment Committee's approval; (d) the custodian has not replied to the balance confirmation request. The CFO asks Mohan to "certify the investment balance since the trading profit is real". Advise Mohan.

ICAI ·

Model answer (ICAI format): Provision: in auditing investments, the auditor seeks existence, ownership and valuation, and compliance with RBI's regulatory parameters, because non-compliance has a direct and material effect. The SM procedures cover segregation, reconciliation, physical verification, classification/shifting and valuation. **(a)** Dealing (front office), settlement and monitoring (mid office) and accounting (back office) must be segregated; the dealer's dual role is a control deficiency → widen substantive testing and report. **(b)** Obtain counterparty confirmations for BRs held; for BRs outstanding unduly long, obtain a written explanation from management. BRs should not be issued for G-sec transactions where SGL facility is available, and BRs issued by the bank must be reconciled → report the non-compliance. **(c)** Classification into HTM/HFT/AFS is decided at acquisition by the competent authority (Board/ALCO/Investment Committee), but shifting from AFS to HTM must be duly approved by the Board → Investment Committee approval is not enough; examine valuation impact. **(d)** Independent confirmations under SA 505; if none is received, use alternative procedures such as bank staff downloading holdings from E-Kuber in the auditor's presence, or depository/PDO statements. **Conclusion:** trading profit does not prove existence or compliance; certify only after these procedures. Report deficiencies in the LFAR and the certificate on compliance with RBI guidelines on investment transactions.

Marks go for: front/mid/back office; BR confirmation + management explanation, no BR where SGL; AFS→HTM needs Board approval; SA 505/E-Kuber alternative.

Q 4 · 5 marks · ~9 min

Mahanadi Bank Ltd, burdened with NPAs, sold the following accounts to Kosi Bank Ltd on 15 March 2026: Ganga Mills (NPA since 1 February 2024) ₹40 crore; Yamuna Foods (NPA since 1 June 2024) ₹25 crore; Sutlej Tyres (NPA since 31 December 2023) ₹18 crore. Consideration: 70% in cash upfront and 30% payable "if and when Kosi recovers more than cost". Ganga Mills, with an NBV of ₹12 crore, was sold for ₹15 crore; Mahanadi credited ₹3 crore to "other income". Kosi Bank recovered ₹9 crore on Sutlej Tyres (cost ₹7 crore) and booked ₹9 crore as income; for capital adequacy it applied a 50% risk weight to purchased NPAs. As auditor of each bank, comment.

ICAI ·

Model answer (ICAI format): Provision (SM): seller — Board policy; only NPAs that stayed NPA at least 2 years in its books; sold without recourse; no residual risk; cash basis with the entire consideration received upfront, never at a contingent price; removed from books on transfer; price below NBV → loss to P&L; price above NBV → excess provision not reversed but used for shortfall/loss on sale of other NPAs. Buyer — provisioning per classification in its books; recoveries first adjusted against cost, only the excess is profit; 100% risk weight on NPAs purchased from other banks. **Mahanadi:** Ganga (more than 2 years) and Sutlej (more than 2 years) meet the age test; Yamuna (about 21 months) does not. The 30% contingent consideration breaches the cash-upfront rule for the whole deal. The ₹3 crore credit to income is wrong — retain it as provision for shortfalls on other NPA sales. **Kosi:** of the ₹9 crore recovery, ₹7 crore adjusts cost and only ₹2 crore is profit; the ₹7 crore overstatement of income must be corrected. A 50% risk weight is wrong — 100% applies, so CRAR is overstated. **Conclusion:** seek correction; if not corrected, consider modifying the opinion and report in the LFAR/IRAC report and the CRAR certificate.

Marks go for: 2-year NPA age; cash upfront/no contingent price; excess over NBV not to P&L; recoveries against cost first; 100% risk weight.

Q 5 · 5 marks · ~9 min

Kaveri Fincorp Ltd is a non-deposit NBFC with assets of ₹1,350 crore. It has not been identified for the Upper Layer. In its annual report it highlights a new app, a 40% rise in disbursements and a CSR award. At 31 March 2026: (a) Hosur Traders' loan of ₹8 crore became NPA on 1 March 2025; realisable security with valid recourse is ₹5 crore; management classifies it as sub-standard "under the 18-month rule" and provides ₹0.80 crore; (b) Mysore Silks has interest overdue for 110 days; management has put it on a "watch list" and continues to accrue interest, saying "the 120-day norm applies"; (c) standard assets of ₹900 crore carry a provision of 0.25%. The engagement partner asks the new audit manager what procedures will verify compliance with prudential norms. Advise, with the correct provision for (a) and (c).

ICAI ·

Model answer (ICAI format): Provision: the SBR Directions 2023 (SM) set income recognition (income on NPAs only when realised; unrealised income reversed), asset classification and provisioning. The NPA norm moves to more than 90 days by 31 March 2026. For NBFC-ML and above, an asset is sub-standard up to 12 months as NPA and doubtful thereafter. Doubtful: unsecured portion 100%, secured portion 20% (up to 1 year), 30% (1–3 years), 50% (above 3 years). Sub-standard 10%. Standard 0.40% for NBFCs other than UL (0.25% only for NBFC-BL). **Facts:** Kaveri is a non-deposit NBFC with assets of ₹1,000 crore and above → **Middle Layer**. (a) Hosur has been NPA for 13 months, so it is doubtful (under 1 year) — the 18-month rule is only for BL. Provision = 3 × 100% + 5 × 20% = ₹4.00 crore, against ₹0.80 crore made. (b) Mysore is overdue more than 90 days → NPA; a watch list cannot override the overdue-based classification; reverse the accrued unrealised interest. (c) 900 × 0.40% = ₹3.60 crore, against ₹2.25 crore made; shown as "contingent provision against standard assets". **Procedures:** verify classification of advances as standard/sub-standard/doubtful/loss and adequacy of provisions; test that NPA income is not taken on accrual; check that last year's NPAs remain NPA unless regularised per directions; review the recovery system and periodic review of advances; recompute CRAR. **Conclusion:** shortfall of ₹4.55 crore (3.20 + 1.35) plus the interest reversal. Seek correction, or modify the opinion and report in the additional report to the Board (prudential norms item).

Marks go for: layer = ML; 12-month cut-off; 100% + 20% computation; >90 days by 31.3.2026; watch list cannot override; 0.40% standard.

Q 6 · 5 marks · ~9 min

Pavan Investments Pvt Ltd has lent to group and outside companies since 2019. Its last audited balance sheet shows financial assets of 64% of total assets (net of intangibles), and income from them is 71% of gross income. It has no CoR; it applied to RBI only on 28 March 2026. Its NOF is ₹6 crore. It accepted ₹15 crore from relatives of directors and the public in FY 2025-26. The directors want the auditor to report only under section 143 "because RBI has not yet decided the application". The CFO adds that if a report must go to RBI, it should also confirm the areas where the company has complied, to "balance" the picture. Discuss the auditor's reporting obligations. Would your answer change if Pavan had obtained the CoR and accepted no public deposits?

ICAI ·

Model answer (ICAI format): Provision: s.45-IA RBI Act — no NBFI business without a CoR and the required NOF. The principal business test (financial assets > 50% of total assets net of intangibles and financial income > 50% of gross income) is met, so Pavan is an NBFC. Under the NBFC Auditor's Report (Reserve Bank) Directions 2016 the auditor gives a separate report to the Board besides the s.143 report. **Part A** (all NBFCs) asks whether the company engaged in NBFI business has obtained a CoR (business without one is an offence under Chapter V) and whether it meets the NOF requirement. Since public deposits were accepted, the **Part B** matters also apply (deposits within permitted limits, credit rating, liquid assets, returns). **CARO 2020 3(xvi)**: registration required and not obtained; NBFI activity without a valid CoR. **s.45MA**: inquire whether deposit particulars were furnished to RBI; if not satisfied, report aggregate deposits to RBI and include this in the s.143 report. **Exception report:** an adverse/qualified statement or a contravention of Chapter IIIB/the Directions must be reported to the Regional Office of DNBS, RBI. The report covers contraventions only and must not contain any statement on compliance — the CFO's request is to be refused. Reasons must be given for every adverse/qualified statement. **Changed facts:** with a CoR and no public deposits, Part A (continued entitlement to the CoR at 31 March, NOF) plus **Part C** apply: Board resolution for non-acceptance of public deposits; no deposits accepted in the year; prudential norms; CRAR in NBS-7 correctly computed and filed in time; MFI classification if relevant. The exception report is still required for any contravention. **Conclusion:** the "pending application" does not limit the auditor's duty.

Marks go for: *s.45-IA CoR + NOF; additional report to Board Parts A/B vs A/C; CARO 3(xvi); exception report — contraventions only, no compliance statement; s.45MA.*

⑭ Descriptive practice — Quality Control and General Auditing Principles

App-written practice questions based on ICAI SM — not ICAI questions. Write the answer by hand first, then compare.

Q 1 · 5 marks · ~9 min

Saraf Bhandari & Co., a 22-partner firm with offices in Jaipur and Indore, grew its fee income from ₹38 crore to ₹61 crore in two years after winning several bank branch audits and three listed-company audits. In FY 2025-26 the firm received two anonymous complaints: one alleged that a manager had signed off stock audit reports without visiting godowns; the other alleged that an audit team ignored the revised CARO reporting format. The managing partner, CA Bhandari, has asked a newly admitted partner with two years' post-qualification experience to "handle quality" in addition to her marketing role. He argues that a separate monitoring process is unnecessary because the firm holds a valid peer review certificate issued by the Peer Review Board, and that complaints should be ignored unless the regulator acts.

Examine the managing partner's view and state the factors the firm must consider in monitoring the quality control of engagements under SQC 1.

ICAI ·

Model answer (ICAI format): Provision: *SQC 1 requires the firm to ensure that its policies and procedures relating to the system of quality control are relevant, adequate, operating effectively and complied with in practice. These include an ongoing consideration and evaluation of the system, including a periodic inspection of a selection of completed engagements. Factors: (i) whether the QC system has been appropriately designed and effectively implemented; (ii) whether new developments in professional standards and legal and regulatory requirements are reflected in the policies; (iii) monitoring entrusted to a partner or other person with sufficient and appropriate experience and authority; (iv) dealing with complaints and allegations of non-compliance with professional standards or regulatory requirements, made by persons within or outside the firm; (v) appropriate remedial action against personnel who did not conform; (vi) action when deficiencies in design or operation, or non-compliance, are identified. Under leadership responsibilities, persons assigned operational responsibility for the QC system must have sufficient and appropriate experience, ability and the necessary authority.* ***Analysis:*** *A peer review certificate comes from an external review of the Practice Unit's systems; it does not replace the firm's own ongoing evaluation and periodic inspection required by SQC 1. Ignoring complaints breaches factor (iv); the revised CARO format not being applied is a "new developments" failure (factor ii). A partner with two years' experience who also runs marketing may lack the experience and authority required, and the arrangement suggests commercial considerations overriding quality.* ***Conclusion:*** *The managing partner's view is not correct; the firm must set up its own monitoring as above and act on the complaints.*

Marks go for: *relevant, adequate, operating effectively, complied with · periodic inspection of completed engagements · complaints and allegations · experience and authority of monitoring partner.*

Q 2 · 5 marks · ~9 min

CA Vikrant is the engagement partner for the audit of Indus Cables Ltd., listed on NSE, for FY 2025-26. Because the firm's two senior partners were busy with bank audits, the firm named CA Megha, a manager who qualified in 2023 and has only audited private companies, as engagement quality control reviewer. On 14 May 2026 CA Megha initialled six working papers on inventory and receivables and returned the file without comment. The team had earlier concluded, after a long debate, that a ₹74 crore claim from a customer was "remote" and needed no disclosure. CA Vikrant dated the auditor's report 15 May 2026. There is no document showing what CA Megha reviewed or whether any matter remained unresolved. CA Vikrant argues that since CA Megha signed papers before the report date, SA 220 is complied with.

Comment on CA Vikrant's argument. Would your answer change if Indus Cables Ltd. were an unlisted company and the firm's criteria did not require an EQCR for it?

ICAI ·

Model answer (ICAI format): Provision: EQCR is mandatory for all audits of financial statements of listed entities (SQC 1). For a listed audit, the reviewer must be an individual with sufficient and appropriate experience and authority to act as an audit engagement partner on audits of listed entities. Under SA 220 the EP shall determine that an EQCR has been appointed, discuss significant matters with the reviewer, and not date the report until the EQCR is complete. The EQCR performs an objective evaluation of significant judgments and conclusions: discussion with EP, review of FS and proposed report, review of selected documentation on significant judgments, evaluation of whether the report is appropriate; for listed entities also the team's independence evaluation, consultation on differences of opinion or contentious matters, and whether documentation reflects work on significant judgments. The EQCR shall document that the firm's procedures were performed, that the review was completed on or before the date of the report, and that the reviewer is not aware of unresolved matters. **Analysis:** CA Megha does not meet the eligibility requirement for a listed audit. Initialling six working papers is not an evaluation of significant judgments: the ₹74 crore claim, a contentious judgment, was not reviewed, and there is no documentation of the review. The EQCR was therefore not completed in substance before 15 May 2026. **Conclusion:** The argument is not correct; the report should not have been dated before a proper EQCR by an eligible reviewer. **Changed facts:** for other engagements the firm devises criteria for EQCR; if Indus were unlisted and did not meet the firm's criteria, an EQCR would not be mandatory, and the SA 220 EQCR steps would not apply. The EP would still be responsible for review of audit documentation and consultation on difficult or contentious matters before issuing the report.

Marks go for: mandatory for listed · experience and authority to act as EP on listed audits · not date report until EQCR complete · EQCR documentation (a)–(c) · firm's criteria for non-listed.

Q 3 · 4 marks · ~7 min

Nirmal & Joshi, Chartered Accountants, accepted the statutory audit of Apex Bullion Traders Pvt. Ltd. in September 2025 after the previous auditor declined reappointment without giving reasons. The client had insisted on a fee 30% below the scale the firm normally charges and asked that the firm not visit two branches "as they are franchise-run". In January 2026, newspapers reported that the Enforcement Directorate had searched the promoter's residence and recovered large cash, and the firm learnt that the previous auditor had raised questions about cash sales. The audit is half complete and the client is pressing for the report by 31 May 2026.

The partners ask you two questions only: which matters of integrity should have been evaluated at acceptance, and what the firm's policies must now address if it considers withdrawing.

ICAI ·

Model answer (ICAI format): Provision: SQC 1 requires the firm to obtain information necessary before accepting a new client. Integrity matters include: identity and business reputation of principal owners, key management, related parties and TCWG; nature of operations and business practices; attitude towards aggressive interpretation of accounting standards and the internal control environment; whether the client is aggressively concerned with keeping fees as low as possible; indications of inappropriate limitation in scope; indications of money laundering or other criminal activities; reasons for the proposed appointment and non-reappointment of the previous firm. Where information is obtained later that would have caused the firm to decline, policies consider (a) professional and legal responsibilities, including reporting to the appointing persons or regulators, and (b) the possibility of withdrawing. Withdrawal policies address: discussing appropriate action with the appropriate level of management and TCWG; if withdrawal is appropriate, discussing the withdrawal and reasons; considering any professional, regulatory or legal requirement to remain in place or to report the withdrawal and reasons to regulators; documenting significant issues, consultations, conclusions and their basis. **Analysis:** The low fee demand, the request not to visit branches (scope limitation) and the unexplained non-reappointment were integrity signals at acceptance; the ED search and cash recovery indicate possible money laundering (as in SM TYK 3). **Conclusion:** The firm should evaluate continuance under the above policies before issuing any report.

Marks go for: fees as low as possible · scope limitation · money laundering · reasons for non-reappointment · four withdrawal steps incl. documentation.

Q 4 · 5 marks · ~9 min

Sunrise Solar Modules Ltd. (SSML), listed in 2024, makes solar panels at Sanand. Chinese imports have cut panel prices by 18% during FY 2025-26, and three peer companies reported losses. SSML nevertheless reported a 27% rise in profit. SSML must raise ₹600 crore of debt to build a cell plant; the bank's sanction requires a net-worth-linked covenant. 35% of sales were to Helios Infra LLP, in which the CMD's brother is a partner, on 180-day credit, and Helios is audited by a small firm unknown to the auditor. SSML set up a trading subsidiary in a tax-haven jurisdiction in December 2025 with no stated business purpose. The finance controller and the internal auditor both resigned in the year. The CMD's performance bonus depends on the share price.

(a) Identify the fraud risk factors relating to fraudulent financial reporting under the heads "incentives/pressures" and "opportunities" and state the overall responses at the financial statement level. (b) Would your answer change if, during the audit, the CMD threatened to remove the auditor and the auditor concluded that he could not continue? State the course of action.

ICAI ·

Model answer (ICAI format): Provision: SA 240 defines fraud risk factors as events or conditions indicating an incentive or pressure to commit fraud or providing an opportunity. The auditor shall evaluate whether they are present (professional judgment). **(a) Incentives/pressures:** high competition with declining margins (price fall, peers' losses); rapid growth or unusual profitability compared with other companies in the industry (profit up 27%); need to obtain additional debt financing to stay competitive (₹600 crore for capex), with pressure from the net-worth covenant; compensation contingent on aggressive targets for stock price (CMD's bonus). **Opportunities:** significant related-party transactions not in the ordinary course or with related entities audited by another firm (35% sales to Helios); subsidiary in a tax-haven jurisdiction without clear business justification; deficient internal control through high turnover of accounting and internal audit staff. **FS-level responses:** (i) assign and supervise personnel considering knowledge, skill and ability and the assessed fraud risk; (ii) evaluate whether selection and application of accounting policies, particularly subjective measurements and complex transactions, indicate earnings management; (iii) incorporate unpredictability in the nature, timing and extent of procedures. Irrespective of assessment, test journal entries, review estimates for bias and evaluate business rationale of unusual significant transactions. **(b)** Yes. Where a misstatement from fraud or suspected fraud creates exceptional circumstances questioning the ability to continue, the auditor shall: determine professional and legal responsibilities, including any requirement to report to the appointing persons or regulators; consider whether it is appropriate to withdraw, where legally permitted; if withdrawing, discuss the withdrawal and reasons with the appropriate level of management and TCWG, and determine whether there is a professional or legal requirement to report the withdrawal and reasons to the appointing persons or regulators. **Conclusion:** Risk factors call for heightened fraud responses; withdrawal follows only the SA 240 steps.

Marks go for: correct head for each fact · related-party / tax-haven as opportunities · three FS-level responses · withdrawal "where legally permitted" with reporting to appointing persons/regulators.

Q 5 · 5 marks · ~9 min

Kaveri Chemicals Ltd., an unlisted company, makes dye intermediates at Ankleshwar. During FY 2025-26 the Fire NOC for its solvent storage expired and was not renewed, and the State Pollution Control Board inspected the effluent plant. The auditor, CA Sameer, learnt from a newspaper that the Board was considering closure directions against "a few units in the cluster". Management told him that "fire safety and pollution are operational matters; please restrict yourself to tax and accounts". It produced GST and income-tax assessments in detail but did not give the Board's inspection report. The company's board consists of the managing director and two of his relatives, all in management.

Discuss CA Sameer's responsibilities and the effect on his report.

ICAI ·

Model answer (ICAI format): Provision: SA 250 distinguishes two categories: (a) laws generally recognised to have a direct effect on material amounts and disclosures, such as tax and labour laws — the auditor obtains sufficient appropriate audit evidence about compliance; (b) other laws that do not have a direct effect but compliance with which may be fundamental to operating aspects, the ability to continue business, or to avoid material penalties (e.g. operating licence, environmental regulations) — responsibility is limited to specified procedures: inquiry of management and, where appropriate, TCWG, and inspecting correspondence with the relevant licensing or regulatory authorities. Non-compliance with laws having a fundamental effect may cause the entity to cease operations or call into question going concern. On suspected non-compliance, obtain an understanding of the act and circumstances and further information on the possible effect; discuss with management; if sufficient information is not provided and the effect may be material, consider legal advice. If precluded by management or TCWG from obtaining evidence, express a qualified opinion or disclaim on the basis of a scope limitation (SA 705); if non-compliance is material and not adequately reflected, qualified or adverse. **Analysis:** Fire NOC and pollution norms fall in category (b); management's statement does not remove the duty to perform specified procedures. Refusal of the inspection report is a limitation imposed by management. Possible closure directions bear on operations and going concern. As all TCWG are involved in management, separate communication to TCWG of matters already communicated is not needed; if he suspects their involvement, no higher authority exists, so he considers the need to obtain legal advice. **Conclusion:** CA Sameer should insist on the correspondence; if denied and the effect may be material, qualified opinion or disclaimer; if non-compliance is established, material and not reflected, qualified or adverse opinion; and document the non-compliance and discussions.

Marks go for: two categories with examples · specified procedures (inquiry, inspection of correspondence) · legal advice · qualified/disclaimer for management-imposed limitation vs qualified/adverse for non-reflection.

Q 6 · 5 marks · ~9 min

CA Nidhi audits Aarohan Hospitals Ltd., a listed company, for FY 2025-26. The audit committee meets once a quarter. Management changed the discount rate for its gratuity and long-term doctor-retention obligations from 7.1% to 9.4%, citing an industry survey; the rate is within the acceptable range but at its upper end and reduces the liability by ₹31 crore. The finance team took 47 days to provide revenue-sharing agreements with doctors and refused to extend its going-concern assessment for a loss-making new unit when Nidhi asked. Nidhi plans to include a Key Audit Matter on revenue recognition. At the year-end meeting, she gave the audit committee a short oral summary and told them "everything else will be in the audit report".

Advise CA Nidhi on what she should communicate to the audit committee and how she should document it.

ICAI ·

Model answer (ICAI format): Provision: SA 260 requires communication of significant findings from the audit: (i) the auditor's views about significant qualitative aspects of accounting practices, including accounting policies, accounting estimates and disclosures, and, when applicable, why a practice acceptable under the framework is not most appropriate in the circumstances; (ii) significant difficulties encountered, such as significant delays by management, unwillingness to provide information, and management's unwillingness to make or extend its going-concern assessment when requested; (iii) unless all TCWG are involved in management, significant matters discussed with management and the written representations requested; (iv) circumstances affecting the form and content of the report, including KAMs under SA 701; (v) other significant matters. For listed entities, communicate in writing on independence, including total fees for audit and non-audit services. Significant findings are communicated in writing where oral communication would not be adequate; communication is on a timely basis. Oral matters are documented with when and to whom; written communications are retained. **Analysis:** The discount-rate change is a significant qualitative aspect of an accounting estimate; Nidhi should explain why, though acceptable, it may not be the most appropriate. The 47-day delay and the refusal to extend the going-concern assessment are significant difficulties, which may also amount to a scope limitation. The KAM must be communicated; a draft report may be shared. A brief oral summary is not adequate for these matters; independence must be in writing. **Conclusion:** Nidhi should communicate the above in writing on a timely basis and retain copies (or document oral discussions with date and recipients).

Marks go for: qualitative aspects of estimates · significant difficulties incl. going concern assessment · KAM as form-and-content circumstance · written independence (listed) · documentation of oral vs written.

Q 7 · 5 marks · ~9 min

Trishul Engineering Ltd. appointed BRK & Co. and MNS & Associates as joint auditors for FY 2025-26. At a dinner meeting the partners agreed that BRK would audit the Pune and Nashik units and MNS the Hosur unit and head office; nothing was written down. Inventory valuation at all units was "to be looked at by whoever is free". MNS noticed that the Pune unit capitalised ₹12 crore of repairs but only mentioned it on a phone call to a BRK manager two days after both firms signed the common report. The receivables at Hosur were later found overstated by ₹18 crore; MNS says BRK is equally liable "because we are joint auditors". The board has asked which firm is responsible for what.

Comment, with reference to the relevant Standard on Auditing.

ICAI ·

Model answer (ICAI format): Provision: SA 299 requires the joint auditors, before commencement, to develop a joint audit plan identifying the division of audit areas and common areas; to discuss and document the NTE of procedures for common and allotted areas and communicate them to TCWG; and to sign a work allocation document communicated to TCWG. In respect of work divided, each joint auditor is responsible only for the work allocated, including proper execution; for allotted divisions/units, obtaining and evaluating information and explanations is the separate responsibility of that joint auditor. All are jointly and severally responsible for: work not divided and carried out by all; planning decisions on NTE in common areas (appropriateness only); matters brought to notice by one and agreed by all; examining compliance of FS with relevant statutes; presentation and disclosure; and ensuring the report complies with statutes, SAs and ICAI pronouncements. A joint auditor who comes across matters relevant to another's area shall communicate them to all others in writing prior to completion of the audit. **Analysis:** The Hosur receivables were allotted to MNS; MNS alone is responsible, and BRK may assume MNS's work was performed in accordance with SAs. Inventory valuation "by whoever is free" was not divided and becomes joint and several. The repairs issue was relevant to BRK's area, and MNS breached SA 299 by not communicating it in writing before completion. Failure to document and communicate the allocation is itself a violation of SA 299. **Conclusion:** MNS is responsible for Hosur receivables; both are jointly and severally responsible for inventory valuation and for the FS complying with statutes and disclosure requirements; both breached the documentation requirements.

Marks go for: allocated work incl. execution · joint and several list · written communication prior to completion · signed allocation document to TCWG.

Q 8 · 5 marks · ~9 min

Gulmohar Retail Ltd. uses Ledgerline Services Pvt. Ltd. to run its point-of-sale billing, inventory and general ledger postings for 140 stores. Gulmohar approves price masters; Ledgerline processes sales, posts entries and generates the trial balance. The statutory auditor, CA Arvind, obtained from Ledgerline a report of its service auditor (not a member of ICAI) giving an opinion on the description of Ledgerline's system and the suitability of design of controls as at 30 September 2025. CA Arvind's audit plan assumes that controls over posting of sales operated effectively throughout FY 2025-26, so that he can reduce substantive testing. The report lists controls Ledgerline expects Gulmohar to perform, such as monthly review of price-master changes.

(a) What type of report has CA Arvind obtained and is it sufficient for his plan? (b) What should he be satisfied about and what should he do with the report? (c) Can his unmodified report mention that he has relied on the service auditor?

ICAI ·

Model answer (ICAI format): Provision: SA 402: a Type 1 report covers the description and suitability of design of controls as at a specified date; a Type 2 report also includes the service auditor's opinion on operating effectiveness and a description of tests of controls and results. When the risk assessment expects controls at the service organisation to operate effectively, the user auditor obtains evidence by obtaining a Type 2 report, performing tests of controls at the service organisation, or using another auditor to do so. In using a Type 1 or Type 2 report, the user auditor shall be satisfied as to the service auditor's professional competence (except where a member of ICAI) and independence from the service organisation, and the adequacy of the standards under which the report was issued; and shall evaluate whether the description and design are at a date or for a period appropriate for his purposes, evaluate the sufficiency and appropriateness of the evidence for understanding internal control, and determine whether complementary user entity controls are relevant and, if so, whether Gulmohar has designed and implemented them. The user auditor shall not refer to the service auditor's work in an unmodified report unless required by law or regulation; if required, the report shall indicate that the reference does not diminish his responsibility. **Analysis:** (a) It is a Type 1 report; it supports understanding of design and implementation as at 30 September 2025 but gives no evidence of operating effectiveness for the year. (b) As the service auditor is not an ICAI member, both competence and independence must be assessed, together with the standards. The price-master review is a complementary user entity control; he must check Gulmohar's design and implementation of it. For operating effectiveness he needs a Type 2 report, tests at Ledgerline, or another auditor. (c) No reference unless required by law or regulation. **Conclusion:** The Type 1 report alone cannot support reduced substantive testing; if sufficient evidence cannot be obtained, he modifies the opinion under SA 705.

Marks go for: Type 1 vs Type 2 contents · competence (non-ICAI) and independence + standards · complementary user entity controls · three ways to get operating-effectiveness evidence · no reference in unmodified report.

App-written

63 Descriptive practice — Audit Evidence, Planning, Risk & Internal Control

App-written practice questions based on ICAI SM — not ICAI questions. Write by hand within the time shown.

Q 1 · 5 marks · ~9 min

Orbit Steel Traders Ltd. buys structural steel from 40 small re-rollers in Mandi Gobindgarh. CA Harpreet, statutory auditor for FY 2025-26, selected 25 suppliers for positive confirmation of balances. To "save postage and time", the company's purchase manager offered to collect the replies personally during his supplier visits; 24 signed replies were handed to the audit team within four days, all agreeing to the book balances to the rupee. While vouching GST input credit, an article assistant noticed from the GST portal that registrations of 19 of these suppliers had been cancelled in July 2025 and no new registration exists on their PANs. The CFO says this is irrelevant since "the suppliers themselves have signed the confirmations, which is external evidence and the most reliable form of evidence". The remaining supplier did not reply.

Comment on the CFO's contention and the auditor's course of action. Would your answer change if the requests had asked suppliers to respond only if they disagreed?

ICAI ·

Model answer (ICAI format): Provision: *SA 500 — reliability of evidence depends on its source, nature and the circumstances in which it is obtained; even evidence from external sources may be unreliable in some circumstances. SA 505 — all responses carry risk of interception, alteration or fraud; factors indicating doubt include a response* ***received indirectly*** *or that* ***appears not to come from the intended confirming party****. If doubt exists, the auditor shall obtain further audit evidence; if a response is not reliable, the auditor shall evaluate implications on the assessment of RMM,* ***including the risk of fraud****, and on the nature, timing and extent of other procedures. For a non-response, the auditor shall perform alternative audit procedures; where a positive response is necessary and not received, determine implications for the audit and the opinion.* ***Analysis:*** *The replies were collected by the purchase manager, i.e. received indirectly, so the auditor lost control over the process. Cancellation of 19 GST registrations months before the replies suggests the businesses at those addresses had closed; signed replies from them are doubtful and may not have come from the intended parties. Unreliable responses are a fraud risk factor (possible fictitious creditors or concealment).* ***Course:*** *treat these replies as not reliable; re-send requests directly from the audit office to verified addresses; examine purchase invoices, e-way bills, GRNs, GST returns, payments and subsequent settlements; reassess risk of fraud in purchases/payables and extend procedures; for the non-responding supplier, perform alternative procedures. If sufficient appropriate evidence is not obtained, consider the effect on the opinion.* ***Conclusion:*** *CFO's contention is not correct.* ***If negative requests were used:*** *negative confirmations give less persuasive evidence, and non-reply does not show receipt or accuracy; they can be the sole substantive procedure only when RMM is low with effective controls, the population has many small homogeneous items, a very low exception rate is expected and no reason exists for recipients to disregard requests. Here fraud indicators exist, so negative requests would not be appropriate; the answer would not change in substance — more procedures would be needed.*

Marks go for: *received indirectly / not from intended party → doubt on reliability; further audit evidence; evaluate risk of fraud and NTE; alternative procedures for non-response; negative confirmation conditions.*

App-written

Q 2 · 5 marks · ~9 min

Saffron Pharma Ltd. paid ₹27 lakh to the law firm Bose & Partners during FY 2025-26 under "legal and professional charges". Board minutes of December 2025 record a "discussion on the patent matter" without detail. The managing director gives CA Ishaan a written representation that "there is no litigation or claim against the company requiring provision or disclosure". Ishaan, unhappy with evasive replies, drafts a letter on his own letterhead asking Bose & Partners for the status of all cases and e-mails it directly. The firm replies that it cannot comment without the client's authority. Management then refuses to sign any letter to the lawyers, saying "our MD's representation should be enough".

Analyse the auditor's approach and advise on his responsibility, including the effect on his report.

ICAI ·

Model answer (ICAI format): Provision: SA 501 — the auditor shall design and perform procedures to identify litigation and claims that may give rise to RMM, including inquiry of management and others (incl. in-house legal counsel), reviewing minutes of TCWG and correspondence with external legal counsel, and reviewing **legal expense accounts**. Where RMM is assessed or procedures indicate material litigation may exist, the auditor shall seek **direct communication with the entity's external legal counsel** through a **letter of inquiry prepared by management and sent by the auditor**. Written representation shall be obtained that all known actual or possible litigation and claims have been disclosed and accounted for; but a representation on its own does not provide sufficient appropriate evidence (SA 580). If management refuses permission, or the counsel refuses to respond, and the auditor cannot obtain sufficient appropriate evidence by alternative procedures, the auditor shall **modify the opinion** under SA 705. **Analysis:** Large legal fees and a vague minute on a "patent matter" indicate possible material litigation. Ishaan was right to seek direct communication, but writing on his own letterhead was not proper — the letter must be prepared by management and sent by the auditor (SM TYU 3). The MD's representation cannot replace corroborative evidence. Management's refusal to sign a letter of inquiry blocks the procedure. **Course:** explain the requirement to management and ask again for a management-prepared letter; inspect correspondence, invoices of the law firm, patent office records and minutes; discuss with TCWG. If refusal continues and alternatives fail, there is a scope limitation: qualified opinion or disclaimer of opinion under SA 705. **Conclusion:** approach partly correct; representation insufficient; modify the opinion if evidence is not obtained.

Marks go for: legal expense account / minutes; letter of inquiry prepared by management, sent by auditor; representation not sufficient (SA 580); refusal → SA 705 modification.

Q 3 · 5 marks · ~9 min

Meghdoot Agro Oils Ltd. crushes mustard seed at Alwar and stores oil in tanks. Inventory at 31 March 2026 is ₹64 crore: ₹38 crore at Alwar, ₹14 crore at a bonded warehouse at Kandla run by a logistics firm whose promoter was arrested in January 2026 in a fake-invoice case reported widely in the press, and ₹12 crore at a depot in a district where the State has imposed curfew under armed conflict conditions since 20 March 2026; no civilian entry is allowed and the curfew is expected to continue for months. The engagement manager says: "Kandla will send a confirmation as usual; for the depot we will just accept the stock register, since travel is impossible. Anyway, visiting the depot would have cost us ₹1.5 lakh."

As engagement partner, examine the manager's view for each location with reference to the relevant SA.

App-written

ICAI ·

Model answer (ICAI format): Provision: SA 501 — when inventory is material, the auditor shall obtain evidence on existence and condition by attendance at physical counting, **unless impracticable** (evaluate instructions, observe, inspect, test count) and by procedures on final inventory records. Inventory with a **third party**, if material: request confirmation of quantities and condition and/or perform inspection or other procedures; where information raises doubt about the third party's integrity and objectivity, perform other procedures instead of or in addition to confirmation — attend or arrange another auditor to attend its count; obtain another auditor's or service auditor's report on its controls; inspect documents. Attendance may be impracticable due to the nature and location of inventory, e.g. where the location poses threats to the auditor's safety; **general inconvenience, difficulty, time or cost is not a valid basis** (SA 200). Where impracticable, perform alternative procedures (e.g. inspection of documentation of subsequent sale of items purchased before the count); if not possible, modify the opinion (SA 705). **Analysis — Alwar:** attend the count; for oil in tanks, evaluate how quantities are measured (dip/gauge readings, not tank capacity). **Kandla:** the arrest and fake-invoice case raise doubt on integrity; a confirmation alone is not enough — attend or arrange another auditor to attend the count, obtain a report on the warehouse's controls, and trace inward/outward documents (bills of entry, e-way bills, warehouse receipts). **Depot:** curfew under armed conflict is a threat to safety, so attendance is impracticable — but accepting the stock register is not enough; perform alternative procedures such as checking subsequent sales/dispatches of pre-count stock, movement records and reconciliations. If evidence is not obtained, modify the opinion (SA 705). The manager's cost argument is irrelevant. **Conclusion:** manager's view is not acceptable for Kandla and the depot.

Marks go for: attendance unless impracticable; third-party integrity doubt → other procedures; safety threat = impracticable, cost/inconvenience not; alternative procedures, else SA 705.

Q 4 · 5 marks · ~9 min

Nirmal Packaging Pvt. Ltd. makes corrugated boxes. Its directors Mr. Ashok and Mrs. Rekha Jalan also hold 60% of Jalan Paper Mills Pvt. Ltd., which makes kraft paper. In FY 2025-26 Nirmal sold its only flexo-printing machine, bought in FY 2024-25, to Jalan Paper Mills for ₹4.2 crore, close to its book value, and simultaneously started outsourcing box printing to a firm, Rekha Prints, at rates 30% above market. Rekha Prints is a proprietary concern of Mrs. Rekha Jalan's sister. Management's list of related parties given to CA Mohit does not include Rekha Prints. The CFO argues that the machine sale is "at book value, hence fair" and that Rekha Prints "is not a related party under any law, since sisters-in-law are not covered", and in any case "management is responsible for identifying related parties, not the auditor".

Evaluate the CFO's arguments and state the auditor's responsibilities.

App-written

ICAI ·

Model answer (ICAI format): Provision: SA 550 — the auditor shall obtain an understanding of related party relationships and transactions sufficient to recognise fraud risk factors and to conclude whether the FS achieve fair presentation and are not misleading, and obtain evidence whether RPTs are properly identified, accounted for and disclosed. The auditor shall remain alert for RP information when reviewing records and share it with the team. For **significant RPTs outside the normal course of business**, inspect contracts and evaluate the **business rationale** (or lack of it), whether terms are consistent with management's explanations, and whether accounted and disclosed properly, and obtain evidence of authorisation and approval. If arrangements suggest **previously unidentified or undisclosed** RPs, determine whether circumstances confirm them; communicate to the team; request management to identify all transactions; inquire why controls failed; perform substantive procedures; reconsider other undisclosed RPs; if non-disclosure appears intentional, evaluate implications (SA 240) and the reliability of management's representations. Written representations on completeness of RPs and RPTs are required. **Analysis:** (i) Machine sale: selling the only printing machine to a paper mill that does not print boxes, while outsourcing printing at higher rates, lacks an obvious business rationale; a business rationale inconsistent with the buyer's business may be a fraud risk factor even at book value (SM TYU 8). (ii) Rekha Prints: whether it is a related party is decided under the applicable FRF — the auditor must determine whether circumstances confirm a relationship; rates 30% above market and timing linked to the machine sale point to possible siphoning of funds. (iii) Management's responsibility to identify RPs does not remove the auditor's responsibility under SA 550. **Conclusion:** CFO's arguments are not acceptable; perform the above procedures, communicate significant RP matters to TCWG and consider the effect on the opinion if disclosures are misstated.

Marks go for: business rationale of significant RPT outside normal course; steps for undisclosed RP; intentional non-disclosure → SA 240; written representation and TCWG communication.

Q 5 · 5 marks · ~9 min

Trident Digital Payments Ltd. is a fintech company. Its internal audit department has three staff and is headed by Mr. Gopal, a retired bank manager appointed on the recommendation of a senior official; he reports to the CFO, has no IT background, and the department has no written methodology or review of working papers. CA Shalini, statutory auditor, wants to cut audit hours by 40% by (a) relying on the department's report on the wallet-reconciliation process, and (b) using two internal auditors under her supervision to test IT access controls and to decide the sample sizes for testing merchant settlements. The CFO says, "Since our internal auditors will do the work, any error will be their responsibility, not yours."

Advise CA Shalini.

App-written

ICAI ·

Model answer (ICAI format): Provision: SA 610 — the external auditor has **sole responsibility** for the opinion; it is not reduced by using the internal audit function's work or direct assistance. To decide whether IAF work can be used, evaluate (a) the extent to which organisational status and policies support **objectivity**; (b) **competence**; (c) a **systematic and disciplined approach including quality control**. The auditor shall not use the work if any of these is not adequate. Usable work includes testing operating effectiveness of controls and substantive procedures involving limited judgment; the external auditor makes all significant judgments and uses less IAF work where more judgment is involved, risk is higher, objectivity support and competence are lower. For direct assistance (if not prohibited by law), evaluate threats to objectivity (including inquiry of the internal auditors) and competence; do not use if significant threats or lack of competence; do not use for procedures involving significant judgments or decisions the external auditor makes under SAs; direct, supervise and review the work and check back to underlying evidence. **Analysis:** Mr. Gopal reports to the CFO and was appointed on recommendation — objectivity support is weak; the department lacks IT competence for a fintech; there is no methodology or review — no systematic approach. Hence (a) the reconciliation report cannot be used. For (b), the same competence concerns apply to IT access testing; and deciding sample sizes is a significant judgment of the external auditor, which cannot be assigned to internal auditors. **Conclusion:** Shalini should not plan to reduce hours on this basis; she should perform the work herself, possibly with an IT expert (SA 620). The CFO's statement is incorrect.

Marks go for: sole responsibility not reduced; three evaluation criteria and "shall not use"; direct assistance limits (significant judgments); conclusion on each item.

Q 6 · 5 marks · ~9 min

Voltara Mobility Ltd. sells electric two-wheelers with a five-year battery warranty, a product launched only in FY 2024-25. The warranty provision at 31 March 2026 is ₹46 crore (last year ₹30 crore). The provision is computed using a failure-rate model built by the company's Head of Engineering, an employee whose bonus depends on EBITDA. In FY 2025-26 the model's failure rate was cut from 6% to 3.5% citing "a new battery chemistry". Actual claims settled in FY 2025-26 on FY 2024-25 sales were ₹19 crore against the ₹12 crore expected. No industry data exist. The CFO says the auditor should "simply check arithmetic, since engineering judgment is outside the auditor's field", and wants no disclosure of estimation uncertainty "to avoid scaring investors".

As auditor, how would you deal with the warranty provision? Would your approach differ if the provision related to a mature product with ten years of stable claims data?

App-written

ICAI ·

Model answer (ICAI format): Provision: SA 540 — evaluate degree of estimation uncertainty and whether a high-uncertainty estimate gives rise to a **significant risk**. Understand how management makes the estimate — method/model, controls, use of expert, assumptions, change in method and why, and how estimation uncertainty is assessed. Review the **outcome of prior period estimates**. For significant-risk estimates, evaluate (a) how management considered **alternative assumptions or outcomes** and why rejected; (b) whether **significant assumptions** are reasonable; (c) management's intent and ability where relevant; if not adequately addressed, develop a **range**; obtain evidence on recognition and measurement basis; evaluate **adequacy of disclosure of estimation uncertainty** (which may be inadequate even if FRF-compliant); obtain written representations that significant assumptions are reasonable; document basis of conclusions and indicators of management bias. Consider need for specialised skills. SA 500 — for information prepared by a management's expert, evaluate competence, capabilities and objectivity, understand the work, evaluate appropriateness; an employee expert is not ordinarily more objective than other employees. **Analysis:** New product, short history, model change, no industry data → high estimation uncertainty and significant risk. Prior-year outcome (₹19 crore vs ₹12 crore) shows the earlier estimate was too low — evidence that cutting the failure rate needs strong support. The Head of Engineering's bonus link is an objectivity threat and a bias indicator. Arithmetic checking alone is not sufficient; engage an auditor's expert (SA 620) to evaluate the chemistry claim; develop a range; insist on disclosure of estimation uncertainty. If unresolved, evaluate misstatement (judgmental) under SA 450 and the effect on opinion. **If mature product:** low estimation uncertainty from routine, frequently updated estimates with observable data — risk likely lower, and procedures like testing data, recalculation and comparing with subsequent claims may suffice; the significant-risk procedures would not be required.

Marks go for: significant risk from high estimation uncertainty; prior-period outcome review; alternative assumptions / range; disclosure of uncertainty; SA 500 objectivity of employee expert.

Q 7 · 5 marks · ~9 min

During the audit of Ganga Cold Chain Ltd. for FY 2025-26, CA Rohit noted that: (i) the same accountant has prepared the bank book and the bank reconciliation for six years and has never taken leave; (ii) insurance renewals of three cold-storage warehouses are tracked in a personal diary of the admin officer, and one policy lapsed for 23 days in December 2025 (no loss occurred); (iii) dispatch challans are issued by the warehouse supervisor who also maintains the stock register. Rohit mentioned these orally to the CFO at the closing meeting. In April 2026, a ₹1.1 crore fraud by the accountant was discovered. The board asks whether the auditor failed in his duty, and the CFO says that since no misstatement arose from items (ii) and (iii), "there was nothing to report".
Discuss the auditor's responsibility for communicating deficiencies and the CFO's view.

App-written

ICAI ·

Model answer (ICAI format): Provision: SA 265 — the auditor shall determine whether deficiencies identified, individually or in combination, constitute **significant deficiencies**; communicate significant deficiencies **in writing to TCWG on a timely basis**, including a description and potential effects, and context — that the audit was to express an opinion on FS, that internal control was considered to design procedures and not to express an opinion on its effectiveness, and that matters are limited to deficiencies identified and considered important. Also communicate to management, in writing, significant deficiencies (unless inappropriate) and other deficiencies of sufficient importance not communicated by others. A deficiency exists when a control is unable to prevent, or detect and correct, misstatements timely, or a necessary control is missing; significance depends on the **likelihood and potential magnitude**, not on whether a misstatement occurred; susceptibility of an asset to loss is a factor. Internal check requires that no single person controls a transaction, duties are rotated, staff take leave at least once a year, and custody of assets is separate from records. **Analysis:** (i) bank book and BRS by the same person, no rotation or leave — violates segregation and internal check; high potential for fraud. (ii) no system for insurance renewal — assets may be uninsured; significant deficiency even without loss (SM TYU S). (iii) custody and records with the same person. Oral mention to the CFO does not meet the requirement of written communication to TCWG. The CFO's view is wrong. A letter of weakness, had it been issued in writing and ignored, would have helped the auditor's defence (Re S.P. Catterson & Ltd.). **Conclusion:** Rohit did not fully discharge SA 265; he should communicate in writing now and consider the fraud's effect on the audit (SA 240) and, where material, his report.

Marks go for: significant deficiency in writing to TCWG timely; contents incl. "not an opinion on IC"; significance = likelihood and magnitude; internal check violations named.

Q 8 · 5 marks · ~9 min

Sunrise Infra Builders Pvt. Ltd. completes residential towers; revenue is recognised on handover. Materiality was set at ₹2.4 crore (2% of revenue of ₹120 crore, extrapolated from 11 months). Handovers in March 2026 were delayed, so actual revenue was ₹96 crore. At completion, CA Anjali's team has found: (a) a duplicate subcontractor bill of ₹0.42 crore; (b) a provision for liquidated damages of ₹0.25 crore that she considers ₹0.85 crore too low; (c) errors of ₹0.09 crore in a sample of 40 out of 400 site-expense vouchers, which she projects at ₹0.90 crore. Management agrees to correct (a) only. Last year's uncorrected misstatement of ₹0.30 crore (inventory) reversed this year. The MD says: "Remaining items total ₹1.75 crore, well below your ₹2.4 crore materiality — sign the report."
Guide CA Anjali.

App-written

ICAI ·

Model answer (ICAI format): ***Provision:*** *SA 450 — accumulate misstatements other than clearly trivial; types: factual, judgmental, projected; communicate all accumulated misstatements to management and request correction; if refused, understand reasons and consider them.* ***Before evaluating uncorrected misstatements, reassess materiality determined under SA 320*** *in the context of actual results. Determine whether uncorrected misstatements are material individually or in aggregate, considering size, nature and circumstances, and the effect of* ***prior-period uncorrected misstatements****. SA 320 — revise materiality on becoming aware of information that would have caused a different amount; if lower, determine whether to revise* ***performance materiality*** *and whether NTE of further procedures remain appropriate. Communicate to TCWG uncorrected misstatements, material ones individually, and the effect on opinion; obtain written representation (with a summary attached) that uncorrected misstatements are immaterial; document the clearly-trivial amount, all misstatements and whether corrected, and the conclusion with basis.* ***Analysis:*** *(a) factual — corrected. (b) judgmental — ₹0.85 crore. (c) projected — ₹0.90 crore. Remaining = ₹1.75 crore. On actual revenue of ₹96 crore, reassessed materiality at the same 2% is ₹1.92 crore; performance materiality and procedures must be revisited, as the sample projection shows high error in site expenses — extend testing or ask management to investigate (SA 530). The aggregate ₹1.75 crore approaches the revised materiality (SA 450 — consider revising strategy and plan); the prior-year reversal of ₹0.30 crore also affects current profit and must be considered.* ***Conclusion:*** *MD's comparison with ₹2.4 crore is not appropriate. Anjali should reassess materiality, complete further procedures, communicate to TCWG and request correction; if uncorrected misstatements are material, modify the opinion (SA 705); otherwise obtain the written representation.*

Marks go for: *reassess SA 320 materiality before evaluating; factual / judgmental / projected; performance materiality and NTE; prior-period effect; TCWG + written representation.*

Ⓓ Descriptive practice — handwritten answers

App-written practice questions based on ICAI SM — not ICAI questions.

Q 1 · 5 marks · ~9 min

Pinnacle Formulations Ltd, listed on BSE, makes injectables at Baddi. In November 2025 the US FDA issued a warning letter on its sterile line, and the share price fell 31%. M/s Rana & Co., the company's statutory auditors, accepted the review of the results for the quarter ended 31 December 2025 under SEBI regulations. Midway through the review, the Managing Director instructed staff not to give the review team the Baddi inventory reconciliation or the minutes of the Risk Committee meeting of 18 December 2025, saying that "these are audit matters for March, not review matters". The engagement partner has already noticed that ₹26 crore of finished goods made on the affected line are still valued at cost, though the export orders for them have been cancelled. The MD says the company will in any case publish the results with a review report, as the regulation requires.

Comment on the course of action open to M/s Rana & Co. Would your answer be different if the MD had made the restriction clear before the engagement was accepted?

ICAI ·

Model answer (ICAI format): Provision: *SRE 2410 (para 3.11 as per SM). A limitation on scope ordinarily prevents the auditor from completing the review. When the auditor cannot complete the review, he communicates in writing to the appropriate level of management and to TCWG why, and considers whether it is appropriate to issue a report. If management imposes a limitation **after acceptance**, the auditor requests its removal. If refused, he cannot complete the review and express a conclusion; he communicates the reason in writing to management and TCWG. If a matter has come to attention suggesting a material adjustment is needed, he still communicates that matter. He also considers legal and regulatory responsibilities: if he is required to issue a report, he **disclaims a conclusion**, gives the reason the review could not be completed, and also reports the material-adjustment matter. If management's preliminary position shows the review will be limited, the auditor does **not accept** the engagement (3.11.1). **Analysis:** withholding the inventory reconciliation and Risk Committee minutes is a limitation imposed by management after acceptance. Reading minutes is an ordinary review procedure under SRE 2410. Rana & Co. should ask the MD to remove the restriction. If he refuses, they should write to management and the Audit Committee/Board explaining why the review cannot be completed, and communicate the ₹26 crore valuation issue as a possible material adjustment. Because the results must be filed with a review report under SEBI regulations, they should issue a report with a **disclaimer of conclusion** stating the reason, and also describe the inventory matter. **Conclusion:** request removal → written communication → disclaimer with reason and the material-adjustment matter. **If the restriction had been known before acceptance**, Rana & Co. should not have accepted the review engagement.*

Marks go for: *request removal of limitation · written communication to management and TCWG · disclaimer where law requires a report, with reason · material adjustment still communicated · not accept if known beforehand.*

Q 2 · 5 marks · ~9 min

Zestara Foods Pvt Ltd, a D2C snacks brand, raised ₹60 crore from a venture fund in 2025. The shareholders' agreement requires its annual financial statements to be reviewed by a chartered accountant other than the statutory auditor. CA Kabir Sethi was appointed for FY 2025-26. The founders are busy with a quick-commerce launch, an ESOP pool expansion and a product recall in Pune. During analytical procedures, CA Kabir finds that trade receivables from modern-trade chains have risen to ₹18.6 crore (FY 2024-25: ₹7.9 crore) while sales grew 22%, and no allowance has been made for balances of ₹4.1 crore that are more than 270 days old. The CFO replies that "the chains always pay eventually".

G6 · App-written

The founders want to know whether CA Kabir can "just mention it" and sign. Explain what CA Kabir is required to do under the relevant standard, and how his conclusion will be worded if (i) he determines that receivables are materially misstated, the effect being material but not pervasive; and (ii) despite further procedures he can neither conclude nor determine, and the possible effects could be material and pervasive.

ICAI ·

Model answer (ICAI format): Provision: *SRE 2400 (as per SM). If the practitioner becomes aware of a matter that causes him to believe the FS may be materially misstated, he shall design and perform additional procedures sufficient to (a) conclude that the matter is not likely to cause the FS as a whole to be materially misstated, or (b) determine that it does. These may be more detailed inquiry or analytical procedures focused on the affected items, or other procedures such as substantive tests of details or external confirmations. In the SM's receivables example, he asks management about uncollectible accounts. If still in doubt, he requests an analysis of amounts received after the balance sheet date. He continues until he reaches (a) or (b); otherwise a scope limitation exists and an unmodified conclusion is not possible.* ***Analysis:*** *the CFO's reply does not resolve the matter. CA Kabir should seek the after-date receipts analysis, ageing by chain, and confirmations if needed. He cannot "just mention" it: an Emphasis of Matter paragraph is allowed only for a matter that is presented or disclosed in the FS and is not likely to be materially misstated.* ***Conclusions:*** *(i)* ***Qualified conclusion*** *under the heading "Qualified Conclusion": "Based on our review, except for the effects of the matter(s) described in the Basis for Qualified Conclusion paragraph, nothing has come to our attention...". The basis paragraph, placed immediately before it, describes and quantifies the financial effect unless impracticable. (ii)* ***Disclaimer of conclusion****: due to the significance of the matter, he is unable to obtain sufficient appropriate evidence to form a conclusion and accordingly does not express one. The basis paragraph gives the reasons. If the limitation was imposed by management after acceptance and withdrawal is possible under law, he shall withdraw.*

Marks go for: *additional procedures to conclude or determine · substantive tests/confirmations/after-date receipts · EOM not a substitute · "except for the effects" vs disclaimer wording · basis paragraph quantifies.*

Q 3 · 5 marks · ~9 min

Brahmaputra Tea Estates Ltd's audited FY 2025-26 financial statements carry an unmodified opinion from its auditor, CA Dhruv Bora, dated 18 May 2026. Dhruv has been engaged to report on summary financial statements for a glossy brochure mailed to 40,000 shareholders. The brochure's draft has five problems: (1) the summary FS show only current-year figures, though the audited FS have comparatives; (2) a "Five-year Highlights" page of unaudited estate-wise yields sits between the summary balance sheet and the summary statement of profit and loss, in the same font and colours; (3) the chairman's letter says profit grew 18%, while the summary FS show 11%; (4) the cover says "Accounts audited by CA Dhruv Bora", but the Finance Director wants to leave his report out "to save two pages"; and (5) the brochure will be released on 5 August 2026.

As per the relevant SA, advise CA Dhruv on each of the five matters.

G6 · App-written

ICAI ·

Model answer (ICAI format): Provision: SA 810 (as per SM). **(1) Comparatives:** if the audited FS contain comparatives but the summary FS do not, the auditor determines whether the omission is reasonable in the circumstances, and the effect of an unreasonable omission on his report. **(2) Unaudited supplementary information:** he evaluates whether it is clearly differentiated from the summary FS. If not, he asks management to change the presentation. If they refuse, he explains in his report that this information is not covered by the report. **(3) Other information in the document:** he reads it for material inconsistency with the summary FS. The 18% vs 11% difference is one, so he discusses it with management and decides which needs revision. If management refuses to revise, he takes appropriate action, including considering the implications for his report. **(4) Association:** if the entity says he has reported on the summary FS but does not include his report, he requests management to include it. If they do not, he determines and carries out other actions to prevent management from inappropriately associating him with the summary FS. (Management also agreed at acceptance to include the report in any such document.) **(5) Timing:** the report is dated no earlier than the date sufficient evidence is obtained (including that the summary FS are prepared and responsibility taken) and the date of the audit report. If dated after 18 May 2026, it states that the summary FS and the audited FS do not reflect the effects of events after 18 May 2026. No additional audit evidence on the audited FS is needed. **Conclusion:** Dhruv should resolve (2)–(4) with management before signing, judge the reasonableness of (1), and include the subsequent-events statement for (5).

Marks go for: omission of comparatives — reasonable? · unaudited information not covered · material inconsistency — discuss, revise or act · request inclusion of report / prevent association · subsequent-events statement.

Q 4 · 4 marks · ~7 min

CA Ishita Menon has expressed an adverse opinion on Godavari Ceramics Ltd's complete set of FY 2025-26 financial statements because of unrecorded liabilities and undisclosed related party transactions. In a separate engagement for Deccan Cooperative Bank, she has audited the company's trade receivables of ₹14 crore (total assets ₹520 crore) and found them fairly stated. The bank's report will be sent only to the bank, and no law prevents an opinion. The company's MD wants her to also add a line in the main audit report that "trade receivables are fairly stated". Advise CA Ishita. Would your advice change if the bank wanted an audit of the Statement of Profit and Loss instead?

ICAI ·

Model answer (ICAI format): Provision: SA 805 read with SA 705 (as per SM). When the auditor expresses an adverse opinion or disclaimer on the complete set as a whole, SA 705 does not permit an unmodified opinion on a single FS or an element in the **same** report, as it would contradict the adverse opinion. In a **separate** audit of a specific element, an unmodified opinion may be given only if: (a) law or regulation does not prohibit it; (b) it is expressed in a report not published together with the adverse report; and (c) the element is not a major portion of the complete set. **Analysis:** the MD's request for a line in the main report is not permitted. For the bank, all three conditions are met: law is silent, the report goes only to the bank, and receivables of ₹14 crore are not a major portion of ₹520 crore total assets. Ishita may express an unmodified opinion in the separate report. She should still consider the implications of the matters in the main report (for example, whether undisclosed related party transactions affect receivables) and may refer to them in an Other Matter paragraph. **Change:** yes. The Statement of Profit and Loss is a single financial statement and is deemed a major portion of the complete set. She cannot express an unmodified opinion on it even if the report is not published together with the adverse report.

Marks go for: no unmodified opinion in the same report · three conditions · major portion test applied to ₹14 cr / ₹520 cr · single FS deemed major portion.

G6 · App-written

Q 5 · 5 marks · ~9 min

Vindhya Solar Glass Ltd plans a ₹310 crore float-glass line at Satna and has prepared prospective financial information for FY 2026-27 to FY 2032-33 to support its loan application to a consortium of banks. The CFO, an IIM graduate, has built a detailed model with IRR, DSCR and payback charts. CA Neha Joshi has been engaged to examine it. She notes that: (a) sales volumes from year three are 135% of the rated capacity of the new line, but no further capital expenditure or outsourcing cost is included; (b) depreciation on the new line is computed at Income-tax Act rates, while the company's audited financial statements use useful lives under the Companies Act, and this is not disclosed; and (c) management refuses to disclose the sensitivity of profits to the price of soda ash, a highly sensitive assumption. The CFO says Neha should simply confirm that the targets are "achievable", because the banks trust chartered accountants.

Discuss CA Neha's responsibilities and the nature of her report.

ICAI ·

Model answer (ICAI format): Provision: SAE 3400 (as per SM). The auditor obtains sufficient appropriate evidence whether: (a) best-estimate assumptions are not unreasonable and hypothetical assumptions are consistent with the purpose; (b) the PFI is properly prepared on the basis of the assumptions; (c) it is properly presented, with all material assumptions disclosed and stated to be best-estimate or hypothetical; and (d) it is prepared on a basis consistent with the historical FS, using appropriate accounting principles. Where hypothetical assumptions are used, all significant implications must be considered; sales beyond plant capacity need investment in capacity or the cost of alternatives such as subcontracting. Highly sensitive assumptions need disclosure of uncertainty and sensitivity. No opinion can be given on whether the results will be achieved, and under Clause 3 of the Second Schedule to the CA Act, 1949, a CA must not let his name be used in a way that suggests he vouches for the accuracy of a forecast. **Analysis:** (a) the volume assumption ignores a significant implication (capacity), so it does not provide a reasonable basis. (b) Income-tax depreciation is inconsistent with the historical FS (SM TYU 1) and is undisclosed. (c) Non-disclosure of a highly sensitive assumption makes presentation inadequate. **Report:** where one or more significant assumptions do not provide a reasonable basis, an **adverse opinion** setting out the reasons is expressed, or she withdraws. Inadequate presentation and disclosure leads to a qualified or adverse opinion, or withdrawal, as appropriate. Her report must carry the negative-assurance statement on assumptions, the opinion on preparation and presentation, and caveats that actual results are likely to differ. She must refuse to state that targets are "achievable".

Marks go for: four duties (a)–(d) · capacity implication · consistency with historical FS · adverse / qualified / withdraw mapping · no vouching (Clause 3, Second Schedule).

Q 6 · 4 marks · ~7 min

Silverline Hospitals Ltd has outsourced billing, claims submission to insurers and collections to MedClaim Solutions Pvt Ltd, Hyderabad. Silverline's auditor wants evidence on MedClaim's controls over claims submission and collection for the full year 2025-26, in order to assess risks over Silverline's receivables. MedClaim asks its own auditor, CA Sameer Rao, for "a quick report as on 31 March 2026 that our controls exist", and also wants the report to cover (i) controls over MedClaim's own financial statements and (ii) controls over its call-centre service quality, "since the client may ask".

Advise CA Sameer on the type of report, the scope requested, and what his opinion must cover.

G6 · App-written

ICAI ·

Model answer (ICAI format): Provision: SAE 3402 (as per SM) covers reports for user entities and their auditors on controls at a service organisation that are likely to be relevant to user entities' internal control over financial reporting. It complements SA 402. A **Type 1** report covers the description and design of controls as at a specified date. A **Type 2** report covers description, design and **operating effectiveness** throughout a specified period, with a description of tests of controls and their results. SAE 3402 does not deal with controls that are not relevant to financial reporting (for example production or quality control). "Controls at the service organisation" exclude controls over the service organisation's own financial statements. **Analysis:** the user auditor needs evidence for the whole year on whether controls worked, so a Type 2 report for FY 2025-26 is needed; a Type 1 report as on 31 March would not meet that need. Items (i) and (ii) fall outside SAE 3402 and should not be included in this report. **Opinion (Type 2), in positive form:** whether, in all material respects and based on suitable criteria, (a) the description fairly presents the system as designed and implemented throughout the period; (b) controls related to the stated control objectives were suitably designed throughout the period; and (c) the controls tested operated effectively throughout the period. A separate section describes the tests and results, including deviations even if the objective was achieved.

Marks go for: Type 2 not Type 1 · period not date · own-FS and quality controls excluded · three-limb positive opinion · tests and deviations section.

Q 7 · 5 marks · ~9 min

Malabar Cashew Exports Pvt Ltd, a family company in Kollam, has made two requests to CA Anil Varghese, whose brother is a 10% shareholder in the company. First, a prospective lender wants the company's FY 2025-26 financial statements, so Anil is asked to prepare them from the trial balance kept by the company's accountant. Second, a buyer from Rotterdam, who is negotiating a supply contract, wants Anil to physically count raw nut stock at the Kollam godown on 31 March 2026, compare it with the stock register and "send us the differences". The MD says that because Anil is "family", the lender and the buyer will trust whatever he signs. He wants both reports to say that the figures are "verified and correct".

Identify the nature of each engagement. Is Anil required to be independent? Advise him on the statements each report must carry so that readers do not take it to be an assurance report.

G6 · App-written

ICAI ·

Model answer (ICAI format): Nature: the first is a **compilation engagement** under SRS 4410: applying accounting and financial reporting expertise to assist management in preparing and presenting financial information, and reporting on it. The second is an **agreed-upon procedures engagement** under SRS 4400: procedures of an audit nature (observation, comparison) agreed with the parties, and a report of factual findings. Both are related services, not assurance engagements. **Independence:** SRS 4410 — independence requirements do not apply, though law may specify requirements or disclosure; other ethical requirements apply, and threats must be identified and addressed. SRS 4400 — independence is not a requirement unless the terms or objective require it; if Anil is not independent, his report of factual findings must say so. **Compilation report must state:** he compiled the FI based on information provided by management; management's responsibilities; the framework; that the engagement was performed per SRS 4410 and he complied with ethical requirements; what a compilation entails; and that, since it is not an assurance engagement, he is not required to verify the accuracy or completeness of the information, and accordingly expresses no audit opinion or review conclusion. **AUP report must state:** the procedures were those agreed with the recipient; a listing of procedures and factual findings with details of exceptions; that the procedures do not constitute an audit or review, so no assurance is expressed; that had he performed additional procedures, an audit or a review, other matters might have come to light; that the report is restricted to the parties who agreed the procedures; and that it relates only to the specified items, not the FS as a whole. **Conclusion:** Anil must not write "verified and correct" in either report. A compilation report is not a vehicle for any opinion or conclusion, and an AUP report gives only factual findings.

Marks go for: correct SRS for each · independence: not applicable (4410) / not required but disclose (4400) · "not required to verify… no audit opinion or review conclusion" · "not an audit or review, no assurance; other matters might have come to light; restricted".

App-written

67 Descriptive practice — Digital Auditing; SDG and ESG Assurance

App-written practice questions based on ICAI SM — not ICAI questions.

Q 1 · 5 marks · ~9 min

Kaveri Spices Ltd has its head office in Kochi and processing units in Idukki and Guntur. For FY 2025-26, the statutory auditors, CA Joseph & Co., are based in Mumbai and plan to complete most of the audit remotely. The CFO is keen to finish early because the company's export incentive claims of ₹38 crore are pending and the bankers want audited figures by 15 May 2026. He has offered the audit team "full admin access" to the ERP through a link e-mailed to the partner, and has said the team may record all video calls with staff and take screenshots as needed. The audit manager plans to keep all documents on a public file-sharing service "until the file is closed next year". The company also asks the team to rely on video tours to count 1,200 tonnes of pepper and cardamom in warehouses at year-end.

Advise CA Joseph & Co. on the key considerations for conducting the remote audit effectively and securely. Would your advice on the year-end stock count change if the warehouses were remote and hard to reach?

ICAI ·

Model answer (ICAI format): Provision: *As per the SM (Digital Auditing — Remote Audit), remote audit is where the auditor uses online or electronic means, partially or completely, to obtain audit evidence or review documentation with the auditee's participation. Auditors must develop tailored strategies so that results are equivalent to onsite audits. Considerations: (i)* ***Feasibility and planning*** *— agree timelines, meeting platform, data exchange mechanism and access authorisation requests; check technology, competencies and resources; evidence transferred through a document-sharing platform. (ii)* ***Confidentiality, security and data protection*** *— access to the sharing platform restricted and data* ***encrypted****; information once reviewed is removed from the platform and stored per archiving and data-protection requirements; consider laws that may require agreements (e.g. no recording of sound and images);* ***no screenshots of auditees****; screenshots of documents only if* ***previously authorised****; access to the auditee's IT system through* ***VPN****. (iii)* ***Risk assessment*** *— clear communication; risks to audit objectives identified and managed; whether remote audit is sufficient assessed and* ***documented for each audit*** *with the team and auditee representative.* ***Facts:*** *an e-mailed link with admin access is not a VPN and gives access beyond need; recording calls and screenshots of staff need prior agreement/are not to be taken; a public sharing service kept till next year breaches restriction and removal requirements. The SM also notes that remote audit increases the opportunity to present doctored documents, which may call for additional procedures.* ***Stock count:*** *SM lists among disadvantages that physical verification of assets and stock taking cannot be performed remotely; the answer does not change merely because warehouses are remote. SM separately mentions drone technology for stock counts at remote locations, combined with manual counts and bar-code scanners.* ***Conclusion:*** *the firm should use VPN-based, approved, limited access; encrypted restricted platform; authorised screenshots of documents only; document the sufficiency assessment; and not substitute remote video tours for stock taking.*

Marks go for: *feasibility and planning · encryption + VPN + no screenshots of auditees · documented sufficiency assessment · stock taking cannot be performed remotely.*

App-written

Q 2 · 4 marks · ~7 min

Ujjwal Retail Ltd runs 310 stores and an e-commerce site. The board is excited about a 41% rise in online sales in FY 2025-26 and has approved a ₹90 crore loyalty programme. During planning, CA Farah notes: (a) the billing server was offline for 3 days in Diwali week after a power failure and a faulty configuration, and sales were written in manual books; (b) two IT support staff have rights to post journal entries in the GL "to help the accounts team"; (c) the GST e-invoicing logic was not updated for a rate change notified in September 2025; (d) the store POS uses a different version of the inventory software from the warehouse, and a patch released in June 2025 has not been applied, causing stock transfer mismatches.

The CFO says these are "IT matters for the CIO". Identify and briefly explain the risks arising from the use of IT that CA Farah should consider.

ICAI ·

Model answer (ICAI format): Provision: As per the SM, while identifying risks arising from the use of IT, the auditor considers the nature of IT applications; risks are more when the volume or complexity of automated application controls is higher and management relies on them. Understanding how the entity relies on IT is required under **SA 315. Facts → risks:** (a) **System downtime** — caused by hardware failures, faulty configurations, cyberattacks or power outage; systems unavailable, business hampered; manual books raise completeness risk for that period. (b) **IT personnel gaining access privileges beyond those necessary** for their duties, breaking down segregation of duties; unauthorised changes to data. (c) **Failure to make necessary updates** to IT applications, and the related **regulatory compliance** risk — a change in law affects business and costs. (d) **System integration and compatibility** — different versions of the same software and patches not upgraded cause bugs; inappropriate integration gives incorrect results. **Conclusion:** these are not "IT matters" alone; CA Farah should identify the IT dependencies affected, scope in the related ITGCs (access security, program change, data centre operations) and design procedures accordingly.

Marks go for: system downtime · excess access privileges / SoD · failure to update + regulatory compliance · integration and compatibility (versions, patches).

Q 3 · 4 marks · ~7 min

Saptagiri Engineering Ltd deployed software bots in April 2025 to process 14,000 vendor invoices a month: the bots read invoices from e-mail, match them with POs and GRNs in the ERP, check GSTINs on the portal and post the entries. The project was driven by the MD, who set a KPI of "zero human touch by June" and bought the tool after a single vendor demo. Bot scripts were changed twice in the year when invoice formats changed; testing covered only the main supplier format. The internal auditor reports that 2% of invoices were posted to the wrong cost centre. The MD wants the statutory auditor to "rely on the bots, which are 100% accurate".

As statutory auditor, discuss the audit implications of the use of RPA and the common risks of RPA evident in the above case.

App-written

ICAI ·

Model answer (ICAI format): Provision — audit implications (SM, Automated tools — RPA): it is of utmost importance for auditors to understand RPA processes, which include data extraction, aggregation, sanitisation and cleansing; unless auditors understand these, they cannot initiate an audit. A comprehensive assurance process might demand review of the source code. For substantive testing, auditors must understand the tools used to develop and maintain RPA, which helps when reviewing logs, configuration controls and privileged access controls. **General IT controls are applicable as always. Common risks (SM):** (i) **Operational and execution risk** — robots deployed without a proper operating model, buying the wrong tool, wrong assumptions, shortcuts, jeopardising security and compliance; (ii) **Change management risk** — not following the change management lifecycle, incomplete testing (not covering all scenarios) gives inaccurate results; (iii) **RPA strategy risk** — wrong expectations, improper KPIs, unrealistic goals. **Facts:** tool bought after one demo = operational/execution risk; script changes tested only on one format and wrong cost-centre postings = change management risk; "zero human touch by June" = improper KPI / strategy risk. **Conclusion:** the auditor cannot rely on the bots merely on the MD's assurance; he should understand the bot processes, review logs, configuration and privileged access, test program change ITGCs over the script changes, and extend substantive testing of cost-centre postings.

Marks go for: understand extraction/aggregation/sanitisation/cleansing · source code, logs, configuration, privileged access; ITGC as always · three named RPA risks · mapping each fact.

Q 4 · 4 marks · ~7 min

Mahanadi Power Distribution Ltd suffered a phishing-led intrusion in October 2025 that disabled its billing system for two days. Management has since hired a security firm, restored data from backups, upgraded firewalls and filed a report with the regulator; the audit committee has received a detailed incident report. While planning the FY 2025-26 audit, the engagement manager drafts a programme focused on the incident response and recovery. The partner points out that SA 315 first requires an understanding of whether the entity's own **risk assessment process** addresses cybersecurity risks.

Explain what the auditor should evaluate in this regard as per the cybersecurity framework in the SM.

ICAI ·

Model answer (ICAI format): Provision: The SM's cybersecurity framework covers identify, protect, detect, respond and recover. Under "**Identify the risk**", the auditor determines whether the entity's risk assessment process considers cybersecurity risks: (i) the entity conducts a **periodic risk assessment** and has a management strategy identifying cyber risks around IT system failure affecting its primary business, potential loss of data or inability to access data, and unauthorised access to the IT network; (ii) it maintains and periodically reviews an **inventory of information assets** (asset management — IP, patents, copyrighted material, trade secrets); (iii) it **classifies and prioritises** protection of information assets by sensitivity and business value and periodically reviews systems connected to the network; (iv) from a **governance** perspective, management reviews how cyber risks affect internal control over financial reporting and, in an attack, the impact on recoverability of financial data and revenue recognition; (v) whether an established risk-based cybersecurity programme (e.g. **NIST, ISO**) is leveraged; (vi) **roles and responsibilities** for cybersecurity are established (**CISO, CIO**); and the risk assessment is discussed with **TCWG** (audit committee / board). **Facts:** the draft programme covers respond and recover, which follow the event; it does not show whether the entity identified the billing system as a critical asset or assessed phishing risk before the event. **Conclusion:** the programme should first cover the "Identify" points above; cyber risk is a business risk, and the auditor considers whether it is a risk of material misstatement (e.g. billing revenue for the outage period).

App-written

Marks go for: periodic risk assessment · inventory and classification of information assets · ICFR / governance review; NIST/ISO · CISO/CIO roles and discussion with TCWG.

Q 5 · 4 marks · ~7 min

Gomti Textiles Ltd, a listed company in the top 1,000 by market capitalisation, has mills in Kanpur and Bhilwara. Its BRSR draft for FY 2025-26 highlights a 22% cut in water use and a new solar plant. However, the HR audit reveals: contract workers supplied by labour contractors were paid wages 45 to 60 days late; wages for some were below what covers basic needs; supervisors discouraged workers from joining a union; night shifts of 12 hours were routine; and three harassment complaints remained unresolved for over a year. The company's sustainability head wants the BRSR to lead with the environment story.

Identify the BRSR principle most relevant to the HR findings and state the core elements associated with it. Would the reporting obligation differ if the company were not among the top 1,000 listed entities?

ICAI ·

Model answer (ICAI format): Provision: BRSR requires disclosures on performance against the nine principles of the NGRBC. **Principle 3 — Businesses should respect and promote the well-being of all employees, including those in their value chains** — relates to all initiatives for employees' dignity, health and well-being. Core elements: (a) compliance with all regulatory requirements for employees; (b) respect dignity; do not restrict **freedom of association, unions** and collective bargaining; (c) prevent child, bonded and involuntary labour; (d) work-life balance not compromised; (e) **timely payment** of wages and compensation; (f) wages as per **living wages** meeting basic needs and economic security; (g) safe, hygienic, comfortable workplace; (h) skill and career development and training; (i) workplace free of **harassment** and violence. **Facts:** delayed and low wages, union discouragement, 12-hour shifts and unresolved harassment complaints — including for contract workers in the value chain — breach elements (b), (d), (e), (f) and (i). Water and solar facts relate to Principle 6 and do not answer the ask. **Second part:** as per the SM, BRSR is mandatory for the top 1,000 listed entities from FY 2022-23 (essential indicators mandatory, leadership voluntary); SEBI has started with them and remaining listed companies are expected to follow. A company outside the top 1,000 would not be mandatorily required under this requirement, though it may report voluntarily (e.g. under GRI). **Conclusion:** Principle 3 is most relevant.

Marks go for: naming Principle 3 with "including value chain" · timely + living wages · freedom of association · harassment-free, work-life balance · top 1,000 mandatory.

Q 6 · 5 marks · ~9 min

Konkan Cement Ltd, a top-1,000 listed company, operates two plants on the coast of Ratnagiri. In FY 2025-26 a state pollution board issued a closure notice to one plant (35% of capacity) for dust emissions; the company has appealed. The annual report will include the BRSR and an MD's statement that the company is "fully compliant with all environmental norms". Lenders have a covenant allowing recall if any plant is shut for more than 90 days. Investors have written to the statutory auditor asking that the auditor's report "describe how climate risks were tested". Management has also engaged a separate firm to provide assurance on the BRSR and asks the statutory auditor to "co-sign" that report to save cost.

Comment on the role and responsibilities of the statutory auditor in this situation, as per the SM.

App-written

ICAI ·

Model answer (ICAI format): Provision (SM — role of auditor, climate-related risks): the auditor's role is to obtain **reasonable assurance** that FS as a whole are free from material misstatement. In understanding the entity, the auditor includes climate-related risks (more relevant in sectors such as energy, materials and buildings). Despite user pressure for transparency, the **auditor's report must follow the applicable SAs**; in some circumstances an **Emphasis of Matter** paragraph may draw attention to disclosures of fundamental importance. The auditor first determines whether the entity has **appropriately disclosed** climate-related information under the applicable framework. The auditor reads **other information** for consistency with the FS and with public communications — **SA 720**. In the SM's agrochemical case, regulatory action required consideration of **SA 250** (non-compliance may cause fines, litigation, material misstatement) and **SA 570** (claims the company may not be able to satisfy). **Facts:** the closure notice is non-compliance with environmental regulation → SA 250 procedures; the 90-day covenant and 35% capacity loss → evaluate going concern under SA 570; check disclosures of the notice and appeal; consider EOM only if disclosure is of fundamental importance. The MD's "fully compliant" statement in the annual report conflicts with the closure notice → SA 720 inconsistency to be taken up with management. Investors' request: the report follows SAs, not investor wishes. **BRSR assurance:** assurance on sustainability information is a separate engagement under **SSAE 3000** (mandatory for periods ending on or after 31 March 2024; reasonable or limited assurance); the FS audit does not by itself give assurance on the BRSR; any such assurance needs its own SSAE 3000 engagement and report, so the request to "co-sign" is outside the statutory audit. **Conclusion:** the statutory auditor's responsibility is confined to the FS audit under SAs, with SA 250, SA 570, disclosure check and SA 720 reading of BRSR and MD's statement.

Marks go for: climate risk in understanding the entity · report per SAs; EOM only if fundamental · SA 720 inconsistency · SA 250 / SA 570 · BRSR assurance separate under SSAE 3000.

G8 Descriptive practice — Due Diligence/Forensic, PSU Audit, Group Audits, Internal Audit

App-written practice questions based on ICAI SM — not ICAI questions.

Q 1 · 5 marks · ~9 min

Meghdoot Hospitals Ltd, a listed hospital chain in Hyderabad, plans to acquire 65% of Shravan Diagnostics Pvt Ltd (SDPL), which runs 42 pathology labs in Telangana and Andhra Pradesh. SDPL's FY 2024-25 financial statements carry an unmodified audit report, and its revenue grew from ₹96 crore to ₹151 crore in two years. The board of Meghdoot signed a term sheet on 3 July 2025. Its CFO says: "SDPL's accounts are already audited with a clean opinion. A due diligence is a waste of money. At most, let their statutory auditor do a quick second audit." The promoter of SDPL has sent five-year projections showing revenue of ₹410 crore by FY 2029-30, prepared on a single "expected" basis. Three of SDPL's five senior pathologists are on fixed-term contracts that end in March 2026, and SDPL's gratuity liability is not funded.

You are the engagement partner of the firm approached by Meghdoot. (a) Advise the board on whether the audited statements remove the need for due diligence. (b) Explain the matters a full-fledged financial due diligence would cover, applying them to the facts where relevant.

ICAI ·

Model answer (ICAI format): Provision (SM Ch 17 paras 1–3): *Due diligence is a measure of prudence activity, or assiduity, expected from and ordinarily exercised by a reasonable and prudent person in the circumstances, not measured by any absolute standard. It differs from audit: an audit is an independent examination of financial statements to express an opinion; due diligence examines a potential investment to confirm all material facts, reviewing financial and non-financial records. Detailed due diligence is done after in-principle agreement but before a binding contract. Reasons include confirming the business is what it appears to be, finding "deal killer" defects, and gaining information for valuation, representations and warranties, and price concessions. **Analysis (a):** SDPL's clean opinion only says the FS are true and fair. It does not look behind the veil of information for Meghdoot's investment decision, does not assess projections or future maintainable results, and does not identify hidden liabilities for the price and indemnity clauses. A "second audit" by the target's own auditor is therefore not a substitute. The term sheet stage (July 2025) is the right time. **Analysis (b) — full-fledged financial due diligence covers:** (1) history of SDPL and background of its promoter; (2) accounting policies, including recent changes and differences from Meghdoot's policies, with their effect; (3) review of FS — compliance with statute and AS, operating results over four to five years, extraordinary items, benchmarking, indicative valuation, and a search for hidden liabilities and over-valued assets; (4) taxation; (5) cash flow — whether growth is funded by internal accruals; (6) financial projections — ask for projections on optimistic, pessimistic and most likely bases, comment on assumptions, report if ₹410 crore is not achievable or aggressive, check arithmetic; (7) management and employees — whether key pathologists will continue after March 2026; the unfunded gratuity needs an actuarial valuation from a reputed actuary; (8) statutory compliance — list of laws and a checklist, with non-compliance quantified. **Conclusion:** The CFO's view is not correct. Meghdoot should commission a due diligence before signing the binding agreement, and the report should suggest indemnities or warranties for the unfunded gratuity and key-staff risk.*

Marks go for: *prudent-person definition · due diligence vs audit (opinion vs confirming material facts) · timing before binding contract · scope (a)–(h), with projections on three bases and actuarial valuation of unfunded gratuity.*

Q 2 · 5 marks · ~9 min

Ambika Textiles Ltd, Surat, has a turnover of ₹640 crore. For eleven years, its Accounts Head, Mr. Bhavesh, has approved vendor bills, signed cheques up to ₹25 lakh, maintained the cash book and reconciled the bank. No one else reviews his work. In FY 2025-26, the new MD noticed that cash expenses of the yarn godown doubled, while wage sheets of contract labour show round-number totals every week. Several suppliers say they never received a few payments shown as made to them. The statutory auditor gave an unmodified opinion for FY 2024-25. The MD appoints you to investigate and says: "Rely on the audited accounts. Just check this year's vouchers on a sample basis, as an auditor would."

Comment on the MD's instruction. Explain what you will do before starting detailed checking, and how you will verify the cash payments.

ICAI ·

Model answer (ICAI format): Provision (SM Ch 17 paras 9 and 11.4): If an investigation is launched because of doubt about the audited accounts, no question of relying on them arises. On 100% or selective checking: where the investigator must establish the amount defalcated, he has no option but to examine all relevant vouchers. Where selection is possible, statistically recognised sampling is safer than "test checks". The investigator seeks conclusive evidence and is not limited to prima facie evidence. **Before starting:** ascertain the exact duties of the suspected person, his relationship to the general office routine, and the circumstances in which the defalcation came to light. The greater the authority of the suspect, the wider the field of investigation. Study the line of responsibility and the internal control system to spot weaknesses, and direct enquiry to areas where there is excessive control in the hands of a single person without supervision — here, Mr. Bhavesh controls approval, cheque signing, cash book and reconciliation. Obtain written instructions on objectives, scope and period. **Verification of cash payments:** scrutinise all evidence of payments, including acknowledgements by parties. Where a receipt shows erased or altered figures, confirm the amount actually paid with the party; do the same for amounts acknowledged on blank paper. Examine all payments by bearer cheques. Review the wage recording system for over-totalling of wage sheets and dummy workmen. Review the ordering and receiving system to confirm no payment was made for supplies not received. Obtain confirmations from directors for amounts shown as paid to them. Vouch and total the petty cash book, with special attention to salaries and wages, and get management's confirmation that payments went to persons actually in service. Check all bank withdrawals with the pass book and all bills with the Bills Books. Because suppliers deny receiving payments, also obtain statements of account from all suppliers. **Conclusion:** The MD's instruction is not appropriate. Since the facts doubt the very accounts produced, the audited statements cannot be relied on, and the payments controlled by Mr. Bhavesh need complete, not sample, examination.

Marks go for: no reliance when investigation arises from doubt · 100% check to establish defalcation · duties of suspect and wider field for greater authority · cash payment verification points (altered receipts, bearer cheques, wage sheets, goods not received).

Q 3 · 5 marks · ~9 min

A consortium of four banks led by Bharat Commercial Bank declared Rajhans Gems Pvt Ltd's ₹310 crore exposure an NPA in January 2026. The lead bank appoints CA Firoz, a forensic professional, to examine possible diversion of funds through sister concerns and forex transactions that do not match imports and exports. The bank's GM says: "The statutory auditor already gave an unmodified opinion for three years. A forensic exercise is just a more detailed audit. Please give us an opinion, as auditors do, on whether the promoters are guilty, so that we can file a police complaint." Halfway through, Rajhans denies access to e-mail servers, citing a court order in a separate dispute.

(a) Is the GM right that forensic accounting is a more detailed audit? (b) How should CA Firoz deal with the GM's request for an opinion on guilt and with the denial of access in his report?

ICAI ·

Model answer (ICAI format): (a) Provision (SM Ch 17 para 12): Forensic accounting is a separate mandate, designed mainly to support legal cases. It is not an audit. Statutory audit is a legal mandate, done only by a CA, to express an independent opinion on true and fair view through control and substantive tests on a sample, with professional scepticism, targeting material misstatements. Forensic accounting aims to discover facts and evidence. Its focus is narrow (validating transactions and balances), its approach is focused testing to confirm a suspicion, and it aims to identify the nature of the violation. It uses scrutiny, fact-finding and interviews, presumes neutrality, may look at seemingly immaterial transactions and is not limited to one accounting period. It examines all relevant transactions so that the evidence is suitable for a court. Its outcome is evidence presented to a court, which judges; no audit opinion is given. Audit procedures are designed to detect material misstatements, not immaterial frauds, and rely on samples and the audit trail. **Conclusion (a):** The GM is wrong. A clean audit opinion does not rule out diversion, and forensic accounting is a different engagement, not a more detailed audit. **(b) Provision (FAIS 510, p.17.68–17.70):** The report shall not express an opinion or pass any judgement on guilt or innocence. Determining culpability is an internal disciplinary process or a judicial process. The report can, at best, highlight circumstances and facts that may aid a stakeholder's decision or further a civil or criminal investigation. Assumptions and limitations — such as restricted or denied access to records because of court orders — must be listed as key elements of the report. Other key elements: title, addressee and distribution; scope and objectives; approach; executive summary; use of experts; statement of conduct under FAIS or material departures; findings with key evidence and sources; conclusions, if any. **Conclusion (b):** CA Firoz should decline to give an opinion on guilt. He should report the facts and evidence on fund diversion, which the bank may use to file its complaint, and disclose the denial of access to e-mail servers as a limitation.

Marks go for: separate mandate to support legal cases · point-wise forensic vs audit (objective, focus, approach, presumption, outcome) · FAIS 510: no opinion on guilt · limitations (denied access, court order) stated in report.

Q 4 · 5 marks · ~9 min

Vindhya State Road Transport Corporation bought 120 air-conditioned buses in FY 2023-24 at ₹62 lakh each, after open tender and with every sanction in order. Because the depots had no charging and maintenance bays, 70 buses stood idle for 19 months. The corporation also built a ₹9 crore guest house in the capital, used mainly by its directors' relatives. In FY 2024-25, the Chairman approved a ₹2.4 crore advertising contract with a firm owned by his nephew, within his financial powers. During the C&AG's audit, the MD argues: "Every rupee was spent under the rules and with sanction, so audit has nothing to say. Your norms are subjective, and you are judging us with hindsight."

Comment on the MD's argument, stating the kind of audit involved and its principles. Would your answer be different if the same transactions occurred in a private-sector company?

ICAI ·

Model answer (ICAI format): Provision (SM Ch 15 para 8): Propriety audit verifies transactions on the tests of public interest, commonly accepted customs and standards of conduct. It brings out improper, avoidable or infructuous expenditure even when it was incurred in conformity with existing rules. A transaction may meet all the requirements of regularity audit and still be highly wasteful. The principles are: (i) expenditure not prima facie more than the occasion demands, with every official showing the vigilance a person of ordinary prudence shows with his own money; (ii) no authority sanctions expenditure that accrues directly or indirectly to its own advantage; (iii) funds are not used for the benefit of a particular person or group; (iv) apart from agreed remuneration, no other avenue is kept open to indirectly benefit management personnel, employees and others. To deal with subjectivity, the C&AG has developed norms of propriety for public expenditure. Decisions are judged with reference to the circumstances when they were taken, not hindsight; the auditor reconstructs those circumstances. **Analysis:** The idle buses are avoidable/infructuous expenditure arising from poor planning; the auditor's function is to see that expenditure is properly planned. The guest house benefits a particular group, breaching principle (iii) and possibly (iv). The advertising contract with the Chairman's nephew breaches principle (ii) (indirect advantage), even though it is within his powers. Compliance with rules answers only regularity. The C&AG's norms answer the subjectivity point, and the missing bays were known when the buses were bought, so this is not hindsight. **Conclusion:** The MD's argument fails; these are proper propriety audit observations.
Would it change for a private company? Yes, in part. The SM says the norms of propriety for governmental transactions do not ipso facto apply to the private sector, whose objectives differ; each management may frame its own norms of propriety. The government norms could not be applied automatically; the auditor would assess against the entity's own objectives and norms.

Marks go for: propriety audit definition and "even though in conformity with rules" · four principles applied to each fact · C&AG norms and no hindsight · private sector: norms not ipso facto applicable.

Q 5 · 5 marks · ~9 min

The State of Malwa launched "Har Ghar Nal" in 2022 to give a piped water connection to every rural household by March 2026, with ₹4,800 crore of State and Central funds. The office of the Accountant General plans an audit covering 2022-23 to 2025-26. Newspapers report that many connections give water for less than an hour a day, that pipes were bought at rates 30% above a neighbouring State's, and that the number of connections per crore spent is lower than in other districts. The Director of the scheme says the department never fixed measurable targets: "That is audit's job; you should first set our indicators."
(a) Identify the audit and the issues it will address. (b) How should the Accountant General decide the audit criteria, and which methods may the audit use? (c) Comment on the Director's statement. (d) Would your answer change if the audit only checked whether the water cess collected followed the State notification?

ICAI ·

Model answer (ICAI format): (a) Provision (SM Ch 15 para 6): Performance audit is an objective and systematic examination of evidence to give an independent assessment of the performance of a government organisation, programme, activity or function, to improve public accountability and decision-making. It examines whether decisions are efficiently and effectively prepared and implemented, and whether citizens received value for money. Following C&AG guidelines it addresses: **economy** (pipes at rates 30% above a neighbouring State — best price, due time, quantity, quality); **efficiency** (input-output — connections per crore compared with other districts); **effectiveness** (extent to which objectives are achieved and intended vs actual impact — connections that give water for less than an hour). **(b)** Audit criteria are reasonable and attainable standards of performance against which economy, efficiency and effectiveness are assessed. Sources: the entity's procedure manuals; policies, standards, directives and guidelines (scheme guidelines); criteria of the same or other entities in similar programmes; independent expert opinion; scientific knowledge; management literature and research papers. Methods: analysis of procedures, case studies, use of existing data, surveys (of households), analysis of results (output-input), and quantitative analysis with sampling. Results go into an Audit Design Matrix for each objective. **(c)** The C&AG's Regulations on Audit and Accounts place responsibility for measurable objectives, performance indicators and measurement systems on the Government departments or heads of entities, who must also define outputs and outcomes in measurable terms. The Director's statement is incorrect. Audit evaluates against criteria; it does not set the department's indicators. **(d)** Yes. Checking whether cess was levied as per the notification is a **compliance audit** (regularity — adherence to laws, regulations, agreements), which is generally a direct reporting engagement, like performance audit. Under Article 151, a report on State accounts goes to the Governor, to be laid before the State Legislature.

Marks go for: performance audit definition · economy/efficiency/effectiveness tied to each fact · criteria sources and methods · departments responsible for indicators · compliance audit (regularity) for the cess, report to Governor.

Q 6 · 5 marks · ~9 min

CA Nidhi audits the CFS of Orbit Engineering Ltd (listed, Ind AS) for FY 2025-26. Of its nine subsidiaries, six are audited by other auditors: total assets ₹2,350 crore, total revenues ₹1,720 crore and net cash outflows ₹44 crore, all before consolidation adjustments. Two of these six are in Germany and Vietnam; they prepare statements under local GAAP and are audited under local auditing standards. Orbit's management converted them to Ind AS. A seventh subsidiary, Orbit Solar Pvt Ltd (total assets ₹38 crore against consolidated total assets of ₹6,900 crore), is unaudited because its auditor resigned in April 2026. In their CARO 2020 reports on standalone statements, the auditor of subsidiary Orbit Castings Ltd qualified clause 3(vii)(a) and the auditor of Orbit's joint venture gave an adverse remark under clause 3(ix)(a). The Finance Director wants Nidhi to "repeat each CARO clause in the consolidated report and also qualify the opinion, since we used other auditors".

Guide CA Nidhi on reporting these matters in the auditor's report on the CFS, and draft the paragraph on the other auditors.

ICAI ·

Model answer (ICAI format): Provision (SM Ch 13 para 8; SA 600, SA 706, SA 705): Where the parent's auditor is not the auditor of all components, he considers SA 600. If he refers to other auditors, the report discloses the magnitude of the portion they audited — aggregate rupee amounts or percentages of total assets, revenues and cash flows not audited by him — presented before permanent and current period adjustments. This reference is not a qualification; it indicates divided responsibility. For foreign components under a different GAAP, management converts the statements, and the principal auditor audits the conversion adjustments. For unaudited components, the auditor considers a possible modification using SA 705, weighing qualitative and quantitative factors. CARO 2020 (SM Ch 7) does not apply to the report on CFS, except clause 3(xxi). **Analysis:** (1) The six subsidiaries are dealt with in an Other Matter paragraph, not a qualification; the FD is wrong. (2) Nidhi must audit the Ind AS conversion adjustments of the German and Vietnamese subsidiaries. (3) Orbit Solar's ₹38 crore is about 0.55% of consolidated assets. She evaluates qualitative and quantitative factors under SA 705; if not material, a modification is not needed, but the evaluation is documented. (4) For CARO, she does not repeat clauses. Under clause 3(xxi) she reports the details of Orbit Castings Ltd and the joint venture and the paragraph numbers (3(vii)(a) and 3(ix)(a)) of their CARO reports containing the qualification or adverse remark. **Draft Other Matter paragraph:** "We did not audit the financial statements and other financial information of six subsidiaries, whose financial statements reflect total assets of ₹2,350 crore as at 31 March 2026, total revenues of ₹1,720 crore and net cash outflows of ₹44 crore for the year then ended. These have been audited by other auditors whose reports have been furnished to us by the Management. Our opinion on the consolidated financial statements, in so far as it relates to these subsidiaries, and our report under section 143(3) of the Act, in so far as it relates to them, is based solely on the reports of the other auditors. Two of these subsidiaries, located outside India, prepare financial statements under accounting principles generally accepted in their countries, audited under auditing standards generally accepted there. The Holding Company's management has converted these to accounting principles generally accepted in India. We have audited these conversion adjustments. Our opinion, in so far as it relates to these subsidiaries, is based on the reports of other auditors and the conversion adjustments audited by us. Our opinion is not modified in respect of these matters."

Marks go for: SA 600/SA 706 Other Matter paragraph with magnitude before consolidation adjustments · not a qualification · conversion adjustments audited by principal auditor · unaudited component under SA 705 · CARO only clause 3(xxi) with paragraph numbers.

Q 7 · 4 marks · ~7 min

Trident Agro Ltd (listed, Ind AS) prepares CFS for FY 2025-26. Management has excluded: (i) Sonal Seeds Ltd, in which Trident bought 52% in May 2025 "only to resell it", and of which it sold 30% in February 2026; and (ii) Kaveri Cold Storage Ltd, in which Trident holds only 9% of the voting power but, under a shareholders' agreement, appoints five of its seven directors. Management says: "Sonal was temporary and Kaveri is below 20%, so neither is our subsidiary." Trident's own intermediate subsidiary, Trident Agri Exports Ltd, has non-convertible debentures listed on the Singapore Exchange and wants to skip its own CFS because Trident files CFS.

As auditor of Trident's CFS, how would you deal with these matters, and what procedures will you perform to confirm that all components are included?

ICAI ·

Model answer (ICAI format): Provision (SM Ch 13 paras 1.1, 5): Ind AS 110 has no exemption for "temporary control" or for "operation under severe long-term funds transfer restrictions". Consolidation begins when control is obtained and ceases when it is lost (para 20). The auditor verifies management's assessment of control, including control over the composition of the board, using Board minutes, shareholder agreements and technology agreements; de facto control is also considered. The s.129(3) exemption for an intermediate company needs all three conditions, including that its securities are not listed, or in the process of listing, on any stock exchange in India or outside India. **Analysis:** (i) Sonal Seeds must be consolidated from May 2025 until February 2026, when control was lost on the sale of 30%. The "temporary" plea fails under Ind AS. (ii) Through its control of the board's composition, Trident controls Kaveri despite only 9% voting power, so Kaveri is a subsidiary and must be consolidated. Exclusion for reasons not allowed by the framework requires the auditor to consider the effect on his report. (iii) Trident Agri Exports has securities listed outside India, so it does not meet condition (ii) and must prepare its own CFS. **Completeness procedures:** review prior-year working papers for known components; review the parent's procedures for identifying components; enquire about new and outgoing components; review investments of the parent and components; review JVs, joint arrangements and other arrangements not consolidated; review registers under ss.186 and 190; identify changes in shareholding; review post year-end Board minutes; document these procedures. **Conclusion:** Both exclusions are not in order. Unless corrected, the auditor considers modifying his opinion.

Marks go for: no temporary-control exemption; consolidate till control lost · board composition gives control despite 9% · listing "in India or outside India" defeats intermediate exemption · completeness procedures incl. ss.186/190 registers.

Q 8 · 5 marks · ~9 min

Pinnacle Retail Ltd, a listed company, appointed CA Tanvi as Chief Internal Auditor in June 2025. Her appointment letter says she will report to the CFO and will "lead the process re-engineering of the billing system" in FY 2025-26. The statutory auditors, M/s KVR & Co., face a tight deadline after sales fell 28% and two lenders recalled loans. The engagement partner asks CA Tanvi's team to give direct assistance by (i) evaluating whether management's use of the going concern assumption is appropriate, (ii) assessing the risks of material misstatement for inventory, and (iii) vouching 400 sample purchase invoices to goods received notes. He tells his article assistant: "Do not keep the internal audit team's working papers in our file; they are not our work."

Comment on (a) CA Tanvi's terms of appointment and (b) the engagement partner's plan and instruction.

ICAI ·

Model answer (ICAI format): (a) Provision (SM Ch 16 paras 1, 3): The internal auditor must be free from undue influence, independent in mind and in appearance. The position and reporting line of the Chief Internal Auditor establish this. In a listed company, the internal auditor may be required to report directly to the Audit Committee instead of the CEO or CFO. The internal auditor should not review an activity for which he was previously responsible, and should not perform executive functions, so that a vested interest does not obscure objectivity. Advisory roles are allowed only if independence is not compromised. **Analysis:** Reporting to the CFO, whose function she audits, impairs independence; she should be outside the functions she audits and report to the Audit Committee. Administrative reporting to the MD/CEO is possible with Board approval. Leading the billing re-engineering is an operational responsibility. She may accept only a limited role for a short period and should not later audit that system. **(b) Provision (SA 610, SM para 7.3–7.4):** The external auditor shall not use internal auditors for direct assistance on procedures involving significant judgements, including assessing the risks of material misstatement and evaluating management's use of the going concern assumption. Before using direct assistance, he must evaluate threats to objectivity and competence, and obtain written agreements from the entity (internal auditors will follow his instructions without the entity's intervention) and from the internal auditors (confidentiality and reporting threats to objectivity). His documentation must include the evaluation of objectivity and competence, the basis for the nature and extent of work, who reviewed the work and when (SA 230), the written agreements, and the working papers prepared by the internal auditors who gave direct assistance. **Analysis:** Tasks (i) and (ii) cannot be assigned. Task (iii), a routine procedure involving limited judgement, may be assigned after the evaluation and the written agreements. The instruction to exclude the internal auditors' working papers is wrong. **Conclusion:** CA Tanvi's terms need revision to protect independence, and KVR must restrict direct assistance to task (iii) and keep the internal auditors' working papers in its documentation.

Marks go for: report to Audit Committee, not CFO · no executive/operational role · SA 610 bar on significant judgements (going concern, RMM) · written agreements · documentation (a)–(e) incl. IAs' working papers.